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Case No: BV20D01752

**IN THE HIGH COURT OF JUSTICE**  
**FAMILY DIVISION**

Royal Courts of Justice  
Strand, London  
WC2A 2LL

Date of hearing: 28 February 2024

Start Time: 11.26 Finish Time: 16.00

**Before:**

**MR JUSTICE MACDONALD**  
**(Sitting in Private)**

**Between:**

**NADIA ZAHMOUL**

**Applicant**

**- and -**

**KARIM ZAHMOUL**

**Respondent**

**MR BRENT MOLYNEUX KC** (instructed by AFP Bloom LLP) for the **Applicant**  
**MISS ALEXIS CAMPBELL KC** and **MISS SASSA-ANN AMAOUCHE**  
(instructed by Stowe Family Law) for the **Respondent**

**PROCEEDINGS – DAY 6**  
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A

*(Transcript prepared without access to case documentation)*

B

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: My Lord, it falls to me, I think, to make submissions to you, unless Mr Molyneux ----

MR MOLYNEUX: (To Miss Campbell): May I address the judge?

MISS CAMPBELL: Yes, of course.

C

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: I need some more time, my Lord, in order to clarify how things are going to progress today on my side.

D

MR JUSTICE MACDONALD: How long, Mr Molyneux?

MR MOLYNEUX: That I do not know, but I am doing my very best to ensure that I have the clarity of instructions to know whether I can best represent the submissions which my client would like to have put before you, or whether there is another way we should be dealing with this morning.

E

MR JUSTICE MACDONALD: I understand, Mr Molyneux. I would be grateful of course for as much expedition as possible.

MR MOLYNEUX: Of course. I entirely understand that. Can I just ask one question on behalf of my client?

F

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Because I know this is something which might inform her approach. Are there any circumstances in which you would permit part of the advocacy to be performed by me, at which point she then concludes the submissions in relation to other matters that she wishes to deal with that she maybe feels that she has a grasp of that is not currently possessed by other members of her team?

G

MR JUSTICE MACDONALD: No, Mr Molyneux.

MR MOLYNEUX: So either Mrs Zahmoul does it or I do it?

H

MR JUSTICE MACDONALD: Indeed.

MR MOLYNEUX: I understand.

MR JUSTICE MACDONALD: Yes. Yes, thank you very much. I will rise.

MR MOLYNEUX: I am grateful.

**(Short break)**

A

MR JUSTICE MACDONALD: Yes, Miss Campbell.

MISS CAMPBELL: If there are no applications, then I will proceed.

MR JUSTICE MACDONALD: Yes. Thank you.

B

MISS CAMPBELL: Thank you, my Lord. I have got some documents which Miss Amaouche will hand out.

MR JUSTICE MACDONALD: Yes.

C

MISS CAMPBELL: These are available on email, and I have sent them already to Ms Knight, and I will send them after I have finished to Mr Molyneux and his team.

(Counsel conferred) Oh, sorry. (After a pause)

MR MOLYNEUX: My Lord, I apologise, not for the first time this morning, to Miss Campbell.

D

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And I apologise to you, probably for the first time. My client would like to re-open the evidence in relation to evidence that was given by Mr Zahmoul about UBS. You will recall that his evidence was that the 12 million sterling that had been removed from the UBS account ----

E

MR JUSTICE MACDONALD: Yes.

F

MR MOLYNEUX: -- was entirely visible in the sense that, first of all, it had been used for investments; secondly, it had been used on living expenses and, thirdly, there was a very significant element of double, if not triple, accounting, because, for example, money would go out of the account and then money, the same money, would then come back into the account. And so adding those figures up and coming to an aggregate of 12 million of withdrawals he said was entirely misleading, in the same way if one had a £50,000 treasury deposit that each month left an account, went into a treasury deposit, earned interest, and then was returned to the account. If you added up those 12 £50,000 leaving and returning, it would look like there was £600,000, but actually he was saying £50,000. I hope I am not doing an injustice or disservice to the way that he was presenting his evidence.

H

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Mrs Zahmoul does not accept that, and she wants me to tell you in the clearest terms that she does not accept that. She has overnight spoken to UBS, and wishes to share with you, and to be tested on this, the product of what she has been told, which she says categorically confirms that Mr Zahmoul's presentation is wrong and -- and she had always thought this to be so obvious as not to require any further

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- A** clarification, namely you just add up the aggregate outflows over the course of this 10/12 year period, and that is necessarily the money that has left the account, all of it separate, all of it differentiated. She, because she feels so strongly that you --
- B** reasonably so, I would say, because she feels so strongly that you must understand the reality of this, so as not to lose £15 million from the matrimonial balance sheet, she would wish to be able to tell you about this in person and, as I said, to be tested on it. That is why I make this application at this late stage for the evidence to that limited degree to be re-opened.
- C** MR JUSTICE MACDONALD: Thank you, Mr Molyneux. Yes?  
MISS CAMPBELL: My Lord, I object to that application in the strongest terms. During the course of the evidence you may remember questions were asked about UBS, and Mr Zahmoul agreed to provide everything and anything that was needed.
- D** MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: He consequently put together this bundle of all the UBS material that has been exchanged during these proceedings, which I can tell you goes back to 2019, and this has been made available again in a clear and easily digestible format so that
- E** there could be no question about full and proper disclosure being given again.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: To hear that after the close of evidence Mrs Zahmoul has been in touch with UBS fills me with absolute disappointment and concern, because I do not know
- F** what is being said. We have not been copied in. This process has to stop.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: The evidence has closed. There should be no more questions because when information is given, it just leads to another round of questions, and there will be
- G** no end. We have to now close the evidence part and move on to the submissions.  
MR JUSTICE MACDONALD: Yes, thank you.  
MISS CAMPBELL: Thank you, my Lord.  
MR JUSTICE MACDONALD: Any reply, Mr Molyneux?
- H** MR MOLYNEUX: Only to say that it is a question of not the underlying data so much as the methodology. Mrs Zahmoul says that the material which she is now in possession of and will be able to explain to the court, in circumstances in which it has not been possible to explain that previously -- that the methodology, namely adding up all the outflows to give a total figure of money which has left the account, all of which is separate money, so all of which in aggregate tells the total outflow -- that the total outflow of 15 million, rather than 50,000 or a million, has been recycled. She says that

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- A** that methodology is so clear and could be made so transparent by her, that it would be an injustice were she not to be able to make submissions in the court -- to give evidence in relation to it, and then have submissions made.
- B** MR JUSTICE MACDONALD: Thank you. Mr Molyneux, for reasons I will explain in the judgment in due course, I am not prepared at this late stage of the proceedings to re-open the evidence. I am satisfied that I heard the evidence I require to determine the matters before me and, in those circumstances, I will proceed to hear Miss Campbell's submissions.
- C** MR MOLYNEUX: My Lord, thank you.  
MR JUSTICE MACDONALD: Thank you. Yes, Miss Campbell.  
MISS CAMPBELL: Thank you, my Lord. As I began to explain, Miss Amaouche is going to provide documents to the parties.
- D** MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: I have a hard copy for your Lordship. (Same handed)  
MR JUSTICE MACDONALD: Thank you. Yes.  
MISS CAMPBELL: These are three documents. One is an updated version of a document
- E** you had in mine and Miss Amaouche's opening note, which was a schedule showing breaches.
- MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: This has been now shared with Mrs Zahmoul's team throughout the last
- F** nearly a fortnight.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: There has been a couple of amendments because we have gone through and updated the recent disclosure, and Miss Amaouche is going to speak to this shortly,
- G** and I will hand over to her.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: Otherwise I have updated the ES2, and there are some concessions made in this which I will elaborate upon later.
- H** MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: And then some closing submissions. My Lord, these are relatively full, and I am very hopeful it will make my submissions to you much shorter.  
MR JUSTICE MACDONALD: Yes. Thank you very much.  
MISS CAMPBELL: This is obviously available for everybody so they can have a look at it, and I am hopeful that that will give you a record of my client's full case and without me taxing more of the court's time.

**IN PRIVATE**

- A** MR JUSTICE MACDONALD: Yes. Thank you.
- MISS CAMPBELL: So I am going to hand over to Miss Amaouche who will just explain the schedule of orders.
- MR JUSTICE MACDONALD: Thank you. Yes, Miss Amaouche.
- B** MISS AMAOUCHE: My Lord, I am grateful. There have been limited amendments to the schedule of breaches. Where there have been amendments, we have highlighted those amendments, and the amendments are in the fourth column. Unfortunately, on the hard copies, the highlights are not in yellow, but when we provided the PDF version, we see
- C** the highlights.
- MR JUSTICE MACDONALD: So they are in grey ----
- MISS AMAOUCHE: They are in grey, I am afraid, on this document.
- MR JUSTICE MACDONALD: Yes. Do not worry.
- D** MISS AMAOUCHE: My Lord, I am not going to speak to the detail of this document. You will recall that your Lordship joined this case and made the first substantive directions orders on 17 November 2022.
- MR JUSTICE MACDONALD: Yes.
- E** MISS AMAOUCHE: That is the order in the bundle at 3397. You gave further directions on 1 March 2023, and the order is at 386.
- MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: Again, further directions on 7 September 2023, the order being at 557.
- F** MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: My Lord, one order I do ask you to turn to now very briefly, please, is your order of 1 November 2023 at p.590.
- MR JUSTICE MACDONALD: Just give me a moment. Yes.
- G** MISS AMAOUCHE: I turn to this order -- Mrs Zahmoul was represented by Mr Southgate KC.
- MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: -- because it encapsulates two points. One, at p.593 you will see at
- H** paras.6, 7 and 8 substantial re-timetabling.
- MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: That order speaks for itself as to the breaches of orders that you had previously made.
- MR JUSTICE MACDONALD: Yes.

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**A** MISS AMAOUCHE: The second paragraph I draw your attention to is para.9. This was a direction that each party has permission to serve a pleading of the other's alleged conduct on which they intend to rely by 4.00 p.m. on 12 December 2023.

MR JUSTICE MACDONALD: Yes.

**B** MISS AMAOUCHE: My Lord, in the note that we have prepared and has been provided to you, at para.55(k) you will find, with emphasis added, excerpts from your published and reported judgments in this case. In July 2023, you were warning the wife that she had failed to itemise with any particularity deficiencies in disclosure, even though directed  
**C** to do so by the court. You noted that:

"After some 30 months of litigation, the wife has not provided a schedule of alleged non-disclosure of assets, notwithstanding the extensive costs expended."

**D** Then over the page, travelling forward to November 2023, again you warned both parties that "fundamental tasks required to achieve an effective final hearing remain undone", and warning the wife again, at the bottom of the page, that her allegations remained to be definitively particularised and determined.

**E** MR JUSTICE MACDONALD: Yes.

MISS AMAOUCHE: So the wife was given fair warning. You made a very clear order in November, and in fact what happened, as you may or may not recall, is that at the PTR on 16 January when Mr Duncan Brooks represented Mrs Zahmoul, it was at 7.00 a.m.  
**F** that morning that the conduct statement was provided by Mrs Zahmoul.

MR JUSTICE MACDONALD: Yes.

MISS AMAOUCHE: If I could ask you to travel in the bundle to the PTR order, please, at p.636.

**G** MR JUSTICE MACDONALD: Yes.

MISS AMAOUCHE: And in this order I ask you to please note three paragraphs: a disclosure paragraph at para.6 directed against the wife, with compliance due by 30 January.

**H** MR JUSTICE MACDONALD: Yes.

MISS AMAOUCHE: Paragraph 7, a provision as to the whereabouts of watches, again by 30 January 2024. And at para.14 a direction for section 25 statements by 30 January 2024, and again an extension and a re-extension.

MR JUSTICE MACDONALD: Yes.

- A** MISS AMAOUCHE: My Lord, the point that we make is, having served the conduct statement late on the morning of the PTR, we have a repeat of that litigation conduct in this case. The section 25 of Mrs Zahmoul is provided to Mr Zahmoul's team on the morning not of day 1 but of day 2. You will recall, my Lord, that you were required ----
- B** MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: -- to make judicial rulings on the contents of that statement and indeed the exhibits to that statement.
- MR JUSTICE MACDONALD: Yes.
- C** MISS AMAOUCHE: My Lord, we say that when you consider that statement as against the conduct statement, there is a morphing of the conduct case and a morphing of the numbers that Mrs Zahmoul articulates.
- My Lord, finally, having referenced paras.6 and 7 of your order at the PTR, I ask you to
- D** have a look, please, at two pages in the supplementary bundle, and those are pp.322 and 323.
- MR JUSTICE MACDONALD: 322?
- MISS AMAOUCHE: And 323.
- E** MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: Your attention has rarely been directed to these pages. This was provided on day 3 of the final hearing, so 21 February. This is Mrs Zahmoul's solicitor's index of the updating disclosure that she provides.
- F** MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: You will note, contrary to your direction of 16 January, "all of those directed documents are to follow, save for documents in respect of liability", and even in respect of those liabilities, save for what one might term professional legal funding
- G** costs, all of those documents remain to follow. You will recall that when Miss Campbell was cross-examining Mrs Zahmoul, her response was "in due course". To pick up Mr Molyneux's criticisms of Mr Zahmoul, this is not a dress rehearsal.
- Finally on this point, and it may seem a small point in the context of this case and the
- H** costs expended but it was only during cross-examination that Mr Zahmoul learned for the first time that the watches had been pawned. We still do not have any of the documents demonstrating that Mrs Zahmoul did receive £50,000 or how or what costs are required to be expended by Mr Zahmoul to retrieve those watches.
- MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: Finally, my Lord, there is no ES2. My Lord, in your published judgments you have referenced the absence of a Form ES2 provided by the wife on

**A** multiple occasions. The ES2 that you have, that we have just handed up, is an ES2 constructed by Mr Zahmoul's team, provided to Mrs Zahmoul's team, and on which they have made no comment.

MR JUSTICE MACDONALD: Yes.

**B** MISS AMAOUCHE: That is a woeful failure not just of orders that you have made but clear practice directions. My Lord, to answer Mr Molyneux's point, and his eloquence:  
"Well, given the wife's case, what is the point? What is the point of adding to a Form  
**C** ES2 because of the totality of the non-disclosure?", we say if the wife would not even properly engage in the computation exercise, that is a clear failure, and evidence of her litigation conduct, and we also say it reflects that which we submit in the opening paragraphs of the written submissions at para.2 - a reflection that this wife has failed to articulate with any clarity her case and the findings she asks you to make. My Lord,  
**D** thank you.

MR JUSTICE MACDONALD: Thank you very much indeed. Yes, Miss Campbell.

MISS CAMPBELL: Thank you, my Lord. I am going to just touch upon a couple of overarching points, which I have referred to in this note as an overview.

**E** MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: I am anticipating the case that my learned friend Mr Molyneux is going to put to you, because it seems to me that without any question the wife's case of non-disclosure of £141 million has simply not been made in any shape or form. There is not  
**F** a clear argument about how the figures are made; the calculations do not add up; there are no underlying documents. The arguments do not make sense.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And it is very difficult to even follow. So the basic premise of what the arguments are has not been made. So it seems to me that Mr Molyneux's task is going to be to make submissions to your Lordship which have to recognise that. There is not any way he can invent the evidence at this stage. I am not suggesting he would even try to, but it has simply not got off the ground.  
**G**

**H** MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: So what we have is an asset pool of about £12 million, and Mr Molyneux has to try and get his client's case, to satisfy her instructions, as close to the 12 million that she aspires to obtain.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And how will he do that? Well, he can only do it by saying to my Lord:  
"This sorry mess is Mr Zahmoul's fault. We are here because of his non-disclosure",

**A** and he is going to refer to the three aspects that seem to me to be arguments that have been properly put.

MR JUSTICE MACDONALD: Yes.

**B** MISS CAMPBELL: Coinbase/Topanga disclosure came late; the Gemini wallet legally in my client's name, and he says he gifted it; and Xapo, the lost wallet. These are the only three substantive claims that Mr Molyneux can rely on. In doing so, he will no doubt say to you if those three things had not happened, if Mr Zahmoul had not erred in his latest disclosure, having hidden his sister's account, which is really his and so on, we would not have got in this mess. Now, superficially, my Lord, that is an attractive argument, and in some cases a little nub of suspicion, a little acorn of mistrust, can grow into the monumental oak tree. But this is not that case, my Lord. No matter how persuasive the arguments may be that Mrs Zahmoul feels concern, needs reassurance, has suspicions, has concerns, repeated time and time again, that does not come from those three actions. That is Mrs Zahmoul's character. I ask my Lord to always, in the rest of the submissions both from myself and from Mr Molyneux, bear in mind that those three actions -- all the other claims that Mr Molyneux will no doubt make about financial pressure and so on, I will come on to those. These things happen in cases. They do not end up in this mess. This case has ended up in this mess because of Mrs Zahmoul's conduct and her litigation behaviour which has been - and I will adopt a word Mr Molyneux used - monstrous.

**F** MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: Those effectively are the overarching comments, and I am not going to go through them point by point, but just to direct my Lord to para.5. It is Mrs Zahmoul's conduct in, firstly ----

**G** MR JUSTICE MACDONALD: Yes.

**H** MISS CAMPBELL: -- the petition issued in January 2020, served piecemeal in June 2020 but not opened, whipped away, and then the parties encourage -- Mrs Zahmoul was very keen to buy a property in Wyoming, presenting as happy families, whilst in the background it is absolutely clear from her evidence she was using every opportunity to look through devices, look on screens. She tracked Mr Zahmoul. It was deliberate. There was no question of a genuine attempt to foster an ongoing relationship. This was an opportunity to examine his financial data and try and find out about his financial history.

MR JUSTICE MACDONALD: Yes.

**A** MISS CAMPBELL: Secondly, she did not disclose those *Imerman* documents until April. Now, her solicitors acted entirely properly. The rules require disclosure before questionnaires.

MR JUSTICE MACDONALD: Yes.

**B** MISS CAMPBELL: But in the spirit of the rules, you should hand them back as soon as you know about them. Mrs Zahmoul obviously did not give them to her solicitors until very late in the day. I have no doubt her solicitors would have acted properly. These were held back, and that was to catch -- or in the hope of catching Mr Zahmoul in a lie. But  
**C** the reality is that it did not. Apart from those three points (to which I will return) there was no lie, and there was quite a complicated asset schedule, lots of investments, lots of detail. Mr Molyneux at one point criticised Mr Zahmoul for giving explanations about some assets but nothing about Topanga and Coinbase. My Lord, if you go back to that  
**D** Form E, you will notice the explanation is given about assets that have lost value.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: There is general explanation, and if Mr Zahmoul says: "I invested this but I think is worth less", that is where the explanation is given. There are 26 different  
**E** investments, and I think there are explanations for three or four. Mr Zahmoul was not hiding the Topanga Coinbase investment.

Mrs Zahmoul's overarching obsession with disclosure - this is conduct which needs to be taken into account. No matter what discovery is given, and today has been a prime  
**F** example, the more that is given, the more Mrs Zahmoul entrenches herself and starts to ask questions in a new direction. At the beginning of this trial, we were all on the cryptocurrency, then we were on Barclays. Now, having given all of those statements in a neat, chronological order, we are now on to UBS. Since this hearing, it continued  
**G** over the weekend, and I understand that Mrs Zahmoul has written directly by herself to Coinbase, writing to Ms Marsh asking her for documents. It is not the request that is offensive, it is the narrative that goes with the request about how she has been cheated and how her husband is not telling the truth, and how the court needs to know the truth.

**H** This kind of spurious, unnecessary, damaging, slanderous material is sent out in all directions whilst she has a legal team acting for her. She knows not to do this. She did it to Mr Pinto, and her legal team were asked, and no doubt told her: "You cannot go directly to professionals when you have a legal team". She completely disregards it. And volume does not mean disclosure. Mr Molyneux is absolutely right, you can produce thousands and thousands of pages and still hide millions and millions of pounds.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: But at some point, if your questions are very broad, demand an inordinate amount of material, and that is provided, you cannot also be criticised for trying to swamp someone with paper and hide the materialities. Mr Zahmoul has been pushed, throughout this trial and throughout the proceedings leading up to it, to disclose and disclose and disclose, and it will never satisfy Mrs Zahmoul. She will never be satiated.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: And no meaningful dialogue. I do not expect Mrs Zahmoul to talk to Mr Zahmoul, that would not be appropriate, but she has had legal advisers, professional advisers, accountants, tax advisers, all of whom Mr Zahmoul has repeatedly asked to enter into a dialogue, and that goes not just to settlement, which might be ambitious, but to please understand the assets. You may have detected from the evidence, Mr
- D** Zahmoul is genuinely happy to offer any disclosure. I can say on his behalf that it is sometimes unnecessary for him to keep giving disclosure because of the impact that disclosure has, and at some point we have to stop. Mr Zahmoul is actually an open
- E** book. One of the reasons he was attracted to cryptocurrency is because it is all public. He has, as you know from all of his exchanges with Mrs Zahmoul, offered up information to her. Every year she has had his tax returns. She described herself as the public family administrator.
- F** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She has had full access, and we looked at some of those examples of him writing to her: "What do you think of this? Do you know where this document is?"
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The pursuit of litigation in the States and complaints to the criminal board of the IRS - this is vexatious. There is no other word for it. It is unnecessary, it is useless to her. She applied to the English jurisdiction to have her divorce determined
- H** here. This is not the natural place. Although she has a home here when the girls are here, all the assets are elsewhere. We have spent thousands of pounds trying to work out what the tax implications are, because we are in England, of moving assets from the States. The easy, natural place would have been America, but Mrs Zahmoul went to great lengths to adopt this jurisdiction, and yet continued to litigate over the same material in the Bank of Jackson Hole. My Lord, you may remember at one of the hearings I appeared at, we pursued initially an Hemain injunction.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: The court was completely overwhelmed with all the other applications of the day, there was no time, there was no point. I genuinely hoped, on behalf of Mr Zahmoul's case, that Mrs Zahmoul would just take notice and take a reasonable, proportionate approach. Yes, she might have said to herself: "The judge here does have power to move the houses and the debt. I actually do not need to worry about the Bank of Jackson Hole". But, no. And you heard Mrs Zahmoul's evidence. Her evidence was: "I will never be satisfied until all the Is are dotted and the Ts are ticked".
- C** It does not matter if it does not make any difference to her financially, any benefit to her, other than pursuing what I say is vexatious and intended to prejudice and cause as much havoc as possible for Mr Zahmoul.
- D** Then we have the breaches which Miss Amaouche has already taken you through - the breaches which have been ----
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: -- in my submission, very unusual in terms of number and severity. The law. My Lord, I know you will be very familiar with the law. Sometimes in cases it helps, I know, because when I sit where you do, or not quite as high up but further down, that if you take yourself back to the statutes ----
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: -- it is very useful, because that is what we are here for, and we have to sort of ignore the noise and focus on the needs. The needs of the statute are principally in three areas: section 25(1) obviously with regard to any children, the first consideration is children under the age of 18.
- MR JUSTICE MACDONALD: Yes.
- G** MISS CAMPBELL: Section 25(2) dealing with the checklist, and then section 25A which deals with the requirement to consider a clean break.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: Those are principally the matters which the court must take into account. Let me deal with those in order.
- Children. Of course Jade Mia is an adult. She is at university.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: A very prestigious university - Madeleine Albright, Hillary Clinton. This is not a college where she is left to fend for herself. This is a very prestigious, caring, sociable university, and we know that is the case because Mrs Zahmoul has not moved herself to Massachusetts.

**IN PRIVATE**

- A** MR JUSTICE MACDONALD: No.
- MISS CAMPBELL: She has stayed right on the other side of the country in Wyoming because she trusts Jade Mia to be in a caring environment, and she is. Similarly, Lila May, Cheltenham Ladies' College, one of the best educational institutes for young
- B** women.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Again, full-time boarding. Mrs Zahmoul obviously has confidence because, similarly, she has not established herself back in Cheltenham, she is happily
- C** over the Atlantic in Wyoming.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Mr Zahmoul has proposed that a lump sum of £700,000 is taken from his pension fund and set aside as an education fund for the children's tertiary education.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Cheltenham is already paid for. That is covered, so it is really tertiary.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: In terms of expectations and maintenance for the children, well, you
- E** have not heard any evidence about the children in this case. These are young women who are entitled to have a relationship with both parents. Both parents clearly love them.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: There is no question of that. And this court must presume that the children will have a close and loving relationship with both.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I am sure it has been incredibly difficult for them, for all manner of
- G** reasons, to see their parents in this position.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And it may not be easy for them to share the relationship that they would like all the time with both of them, but the court must proceed on the basis that
- H** the children will spend extended time during their school holidays or university holidays with both. So, my Lord, because of their ages and because of their educational commitments, each party will make their own expenditure for the children when they are with them.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So there is no question of child maintenance. It has not arisen, but it should not.

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- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Let us then go to resources. Capital resources first.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: You have my ES2. Again, Mrs Zahmoul, distracted as she has been
- B** with her own agenda, has not allowed her legal team to even comment on this schedule. So it remains principally the figures that Mr Zahmoul's team have put together. I am afraid it is very tiny on this page, and you have an electronic version.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: But I will not trouble you with this, except to show you the points in green which are the changes.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I can tell you that in the investments there was a figure there of
- D** £345,000 for tax.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I have taken it off this schedule because it appears on the net effect in terms of money coming out of the pension. So I did not want to double count it.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So it has gone. The other two green items are *de minimis* but, to be clear, both relate to chattels. We are hopeful now that Mrs Zahmoul will return the appropriate documentation so my client can collect his watches.
- F** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And although she spent £50,000, or thereabouts, of that money, I am going to add that to my add-back argument.
- MR JUSTICE MACDONALD: Yes.
- G** MISS CAMPBELL: But it does not need to feature here otherwise, again, it will be double counting.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And I have amended the value of the car that is left, £10,000 apparently
- H** being held by a friend. So that is that.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Over the page, slightly more. During the trial, again we were given evidence by Mrs Zahmoul that there had been increases to the legal fees she owed to third parties. So we have there Burgess Mee - who were really bit parts in this production ----
- MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: -- who apparently are owed £265,000.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: Taylor Wessing are owed 168, and there are new figures for Saffery LLP, presumably accountants, of just over £11,000.
- B** MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: And MRW Consulting. Those were the tax experts, who were not advising on the actual incidence of tax that the parties will pay; they were advising on whether or not Mr Zahmoul's tax returns were properly complied with.
- C** MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: Then you will see there are two further entries -- sorry, one further entry, FTI Consulting, which again is either some accountancy or some cyber/crypto - I think Mr Zahmoul tells me it is crypto - at £38,000. These are new and these came to
- D** us over the course of the trial so I have added them in.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: And you will see that I have ignored the loan from Mrs Zahmoul's father, which she has yet to evidence. We understand Mrs Zahmoul's father to be a
- E** generous father who has throughout many years now given money to his daughter.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: It appears on her bank statements as (inaudible), which is family help, and it looks like a gift. So I have left that as zero. Finally, I alerted the court to this
- F** earlier, the lifetime allowance on the pension since these proceedings started, that has now gone.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: And as long as we are able to put your Lordship's order into effect, we
- G** should still get the benefit of that.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: So if, my Lord, you turn over to the final page, it is in legible print, I am pleased to say. So you can navigate through this document, the first column obviously
- H** identifies the assets. The second column is an exact lift from the ES2.  
MR JUSTICE MACDONALD: Yes.  
MISS CAMPBELL: So everything you see here in legible print is replicated, and you can see that the net effect of the first column at 12.769 million is the same as the net effect on the ES2.  
MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: So that is consistent. What I will be saying to you, my Lord, is there need to be some adjustments for you to be able to come to your point of quantification before the distribution.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: As you know, I say that the inherited properties are not significant but, in any event, have come from Mr Zahmoul's father, and those should not be added into the matrimonial pot.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: Similarly, Norsar(?), which is the family business that has again come from his father and held with his sister ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- should be excluded. Oxus is the business that my client assisted in an
- D** advisory role, as you may remember. He lost his job with Oxus when they were merged with Borealis.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: He had some shares with them. They are not worth anything at the
- E** moment. They are illiquid, they cannot be traded. They may be in the future, but at the moment they are of no value.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The most significant feature which my Lord will want to focus on is
- F** under liabilities.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: You will see there the amendment that I have made, and I will explain this in greater detail, but so my Lord can follow: Mrs Zahmoul says she owes her
- G** lawyers and advisers 1.483 million.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I say that Mrs Zahmoul should not have spent that much money and she should not have spent, on any account, more than the husband. The fact that he spent
- H** the best part of £1 million is monstrous.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And so matching £1 million is already, in my submission, being generous ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- to Mrs Zahmoul. That is done, and so if we add back that £913,000, which is the difference between what he has incurred and what she has incurred.

- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She spent 1.9 and he has spent just under a million, so there we have 913, and I say, my Lord, because of the authorities (and I will come back to it shortly), you should add that back before considering penalties, just because it is not a reasonable
- B** figure. If you do not add it back, the distribution exercise becomes distorted because Mr Zahmoul is picking up 50% of a bill which should not have been incurred.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I will need to make representations to you about whether or not that is
- C** fair. I also say that Mrs Zahmoul should pay for the Hill Villa debt and the Outpost debt. Those are debts owed in respect of the Wyoming property. She had a significant maintenance provision and those debts should not have been incurred, and I will come back to that.
- D** Then you will see we have the Malta pension. That is the money held in Malta. The advice that Mr Zahmoul has been given is that because of his non-habitual residence status in Portugal he can draw down on that Maltese pension and, by paying 10% on effectively a drawdown the whole, it becomes liquid.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Now, there are benefits. If he can draw that down over a three-year period, he may not have to pay any tax, but that requires some cooperation with Mrs Zahmoul.
- F** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: If the parties are able to cooperate, they will be able to save themselves some money. I am working on the premise that there will be none. So if we allow tax to be deducted from that pension, and you will see it is 233 ----
- G** MR JUSTICE MACDONALD: Miss Campbell, can I just pause? Whoever ----
- MISS CAMPBELL: I do not know where it is coming from.
- MR JUSTICE MACDONALD: I am not sure whose phone is pinging, but if we could avoid it, it is slightly distracting. Thank you. Yes?
- H** MISS CAMPBELL: So you will see from the pension ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- I deduct £345,750 for the Coinback -- Coin ----
- MR JUSTICE MACDONALD: Coinbase.
- MISS CAMPBELL: Coinbase tax. Thank you, my Lord. Again, that needs to be held for four years.
- MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: And if Mr Zahmoul is able to avoid the tax because of his non-habitual residence status, then that can be shared between the parties.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: There is no question of anybody not benefiting. If the tax has to be paid, it will, but any balance will be shared equally.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: There is £700,000 which will be for school. The tertiary fund will be held in the joint account.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: It seems inevitable that the parties will have to cooperate, but there should not be any draw on the account without both parties' signatures and so it would have to relate to educational expenses that they are both content with.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And then there is the tax at 10%, the 233,000.
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: If those are drawn from the pension, the parties will each get a minimum of £529,000 and, as I say, if the tax is not demanded for Coinbase, then that will be supplemented by those funds.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: The US pensions can be shared. There is no difficulty. Those will be shared in America and they will each get £323,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: My Lord, that is what I say the court should take into account. The first lot is 12.769, the matrimonial resources -- sorry, the total resources.
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And then deductions of 713,000 which are for non-matrimonial tax and the add-back on spending ----
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: -- for the lawyers, which gives us a net fund of 12,055,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And you will see from the way that the figures are apportioned between the parties how Mr Zahmoul's open proposal makes sense.
- MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: And I will just run through that while we are on this document. He says 3100 West Arrowhead should come to him. That is not the one he wants. He would prefer the other property. His open proposal was for the other property.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: But he has taken the view, and because Mrs Zahmoul is already in the other property that she wants, 3093, he has conceded that she should keep that property.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So she does not have to move. If she wants to, she can stay there.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: He will take on 3100, and he will take with it 100% of the mortgage.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And he will take the property with the higher in-built CGT and taxes.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Now, Mrs Zahmoul will no doubt tell you that it is preposterous to suggest that the two of them should be able to each retain a property, but I ask you to take that with a pinch of salt, my Lord.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: This is a holiday town. It is a skiing town. It is sort of a bit like Whistler. I do not ski, I do not know, but I am told that it is very popular ----
- MR JUSTICE MACDONALD: I have been there, Miss Campbell.
- F** MISS CAMPBELL: Okay. I am told it is very popular.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: There are lots of these elegant chalets that families rent, and it is absolutely realistic for them each to have one. It would also be a convenient place for Mr Zahmoul to be if he were to spend time with his daughters. Now, I do not know what will happen in the next months and years, and where Mrs Zahmoul will be.
- G** MR JUSTICE MACDONALD: No.
- MISS CAMPBELL: But he likes to ski, his daughters ski. This would be a very good place for him to have, if he can keep it.
- H** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Those are both expensive properties and the realities are that maybe neither of them will be able to do so, but they are adults, they are capable of arranging their affairs in the best way that suits them. So he would like to keep that. I accept that if he is not able to have the mortgage removed from Mrs Zahmoul's name after a decent period of time - I propose six months - then the property will have to be sold ----

IN PRIVATE

- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- so that Mrs Zahmoul is released from her covenants on the mortgage.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Because Mrs Zahmoul is getting by far the more valuable property with
- B** no mortgage and smaller taxes. To balance the books, Mr Zahmoul will keep the Frost Street units.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And take with it all of the tax. So that pregnant tax travels over to him.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: That would give Mrs Zahmoul a property in the place she says she wants to live, West Arrowhead, that is worth the best part of £6 million. She can sell it if she wants to.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: If she wants to pay off her legal fees, and so forth, if she needs to, that is what she can do. She can keep it and rent it. We know from the parties' evidence that, net of expenses, and there will be no mortgage, that produces \$150,000 a year. So it is
- E** a good income if ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- the other expenses can be accommodated. But if she wishes to sell it, paying off all the pregnant taxes, she will still have close to £5 million worth of liquid
- F** cash in her hand.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Travelling down the proposal, the joint accounts will be divided equally.
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The parties will retain their own savings. The private equity investments, those will be divided *in specie*.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: 50% of any costs, 50% of any transfer expenses, and each will get half. Mrs Zahmoul will keep her Fidelity investments.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Then looking at the business, these are figures that are included, 46,000 for Emviry Ltd, and 25 for Trading. The money is not really there, but on the accounts it is shown. And there is some Kia investment or Chia investment in the trading company. Mr Zahmoul will keep that. As you see, I have excluded the non-

IN PRIVATE

- A** matrimonial Norsar shares. The Range Rover appears then just as £10,000 of equity held by a friend.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Then we look at the crypto. That will be shared *in specie*. Mr Zahmoul
- B** will keep the loan with his friend, that Hajimi has owed for some time now.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: 60,000. Again, not real money, but that is his responsibility and he will bear it.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: He has a rental deposit owing to him, and Mrs Zahmoul has a tax refund owing to her.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: We then look at the liabilities. My client has credit card debts and other expenses of just under 60,000. Mrs Zahmoul has allowable outstanding legal costs of 570. She has to pay the EDF bill, her credit cards, and the debts owed on the property in Cheltenham and the property expenses associated with her West Arrowhead
- E** property.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Then the parties get half of the pensions. This is the net effect of my proposal: that Mrs Zahmoul will receive 5.589 million, and my client will retain 6.465.
- F** It is a 54/46% split.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: But, my Lord, you will want to know what does that actually mean in cash.
- G** MR JUSTICE MACDONALD: Indeed, yes.
- MISS CAMPBELL: So I will explain how we get to that figure and why the add-back is expressed in the way it has been and how it features in the final figures.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: Mrs Zahmoul -- you will see in relation to the litigation costs argument, Mrs Zahmoul owes her advisers 1.428 million.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She has £570,000 which we have allowed for above the line, so that has already been taken into account.
- MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: So in terms of cash, what my offer does not take into account is that Mrs Zahmoul is going to be left owing her lawyers £858,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: In my submission, Mrs Zahmoul should not be given credit for that on
- B** the balance sheet. You should add it back, and you should also add back the money that Mrs Zahmoul wasted with the Bank of Jackson Hole, £104,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I have removed the Detach interest because that is included now in the
- C** 858. That is part of the unpaid fees. So, my Lord, previously I had had 168,000 as money charged by Detach, which I say is excessive.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: But it is contained within the 858 in any event.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So it is there but already covered. I have added back the £50,000 that Mrs Zahmoul spent from Mr Zahmoul's jewellery.
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: My Lord, she did not need to do that. She could have pawned her own jewellery. She pawned his, and that was not fair.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I have added back the EDF bill, the Hill Villa liabilities, and the Outpost
- F** liabilities. My Lord, I have done that because Mrs Zahmoul has had maintenance pending suit, significant sums from her own accounts, and monies from the parties' rental income, and I will take my Lord to the spending figures later on, but I say that all of these figures should be added back.
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And I have not quantified the adjustments in relation to her conduct generally - all the points I have made.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: But if we just add back those hard figures, if Mrs Zahmoul had behaved reasonably, she would have had, on my proposal, £6.8 million ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- which would have been more than half.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So, my Lord, in reality, your job is to consider whether the 5.589, less the 858, which is the real payment, is fair ----

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- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- in the circumstances. My Lord, I am going to address you about that now.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: Can I turn to my note at p.15? I just want to cancel, and I hope put to bed, any remaining arguments about hidden assets. The cryptocurrency - there are no hidden Bitcoins. We have had an incredible examination of cryptocurrency trading going back, unbelievably, nine years.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Nearly 10 in fact. Some of it goes back to 2014. That is unheard of in these proceedings.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: But although the court only ordered to 2019, Mr Zahmoul took the decision to just trace it all, and actually it was a wise one because in doing so Mr Pinto was clear he had examined 100%, and even the queries that CipherBlade popped up, many of which were complete red herrings ----
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- because CipherBlade were using an unreliable system. Having examined everything, Mr Zahmoul was, unusually, able to prove the negative: "It is all here". Although Mrs Zahmoul does not like the answers: "Well, it went to Olivia", or:
- F** "It went to a lost wallet", or: "It went to my sister", it is all explained by Mr Pinto and it is all covered in his report.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The Gemini account. Well, my Lord, you have to look at the evidence.
- G** I say first of all Mr Zahmoul's oral account is incredibly plausible. He went to his sister at her wedding and gave her five Bitcoins, which at the time -- and let us keep this in perspective. Mr Molyneux referred many times to being worth hundreds of thousands of dollars, but at the time it was worth \$22,000. Actually the documents produced
- H** through these proceedings have shown that to be the case, and we can see the Gemini statements - I have given you the page reference there.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: It was 22,124. We can also see from the Gemini statements - and again I have given you the reference - that there was no trading. From around 2017 there was absolutely nothing happening to that account, which again is contemporaneous evidence

A consistent with what Mr Zahmoul told you: "This was an old wallet. I was not using it. I gave her the account. I never touched it again".

MR JUSTICE MACDONALD: Yes.

B MISS CAMPBELL: We know that he always had a Gemini account. Mrs Zahmoul knew that because she had seen that in the *Imerman* disclosure. So she knew there was one there. And in the *Imerman* letter from HFC back to Withers, it is listed, and the solicitor writes: "My client no longer holds a Gemini account" - not that he never held one, no longer. I accept Mr Molyneux's criticism that, technically, having legal title to  
C an account should have been included in the Form E.

MR JUSTICE MACDONALD: Yes.

D MISS CAMPBELL: Mr Zahmoul was wrong, but many people do that. I am not excusing it, I am explaining that often if you consider something that was given as long ago as three years ago, in 2021, "Oh, I gave that to my sister. I have never touched it", no, you would not refer to it. Mrs Zahmoul has made a big ordeal about getting the subpoenas in February 2023 and it blew open Mr Zahmoul's lies, she said. But in 2022 he explained to the cryptocurrency expert: "I have given this wallet to my sister".

E MR JUSTICE MACDONALD: Yes.

F MISS CAMPBELL: Mr Molyneux will take you to the timing of when that was transferred. There is no secret. My client was anxious about what would happen to his sister's money, and Layla, his sister, filed an affidavit. It has not been referenced by any of us, but it is in the bundle, and she makes that clear, that her brother thought there would be trouble and transferred the coins to her. Again, it is not the best thing to do in financial remedy proceedings. I accept that. It is not uncommon, and it was not hidden.

MR JUSTICE MACDONALD: Yes.

G MISS CAMPBELL: That information was given before the subpoena was applied for. Then we have the Xapo accounts. Well, that is perhaps the one thing where Mr Sibenik was worthwhile. The research enabled my client to identify this account. Again, the contemporaneous documentary evidence is entirely consistent with what he told you  
H and what he said in his statements. The account was closed -- one of the accounts was closed in October 2020 for inactivity.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And there was an internal exchange. It became, as I understand it, a bank. Mr Zahmoul explained that as a transaction platform, it moved. And you can see on the statements the internal transactions, nothing external. And all of the

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A correspondence with Xapo makes it clear that they had no contact with him and that the Bitcoins were there, processed, and given back to him.

MR JUSTICE MACDONALD: Yes.

B MISS CAMPBELL: So, my Lord, this is the figure that you will see that I have already taken you to in my schedule. I say that when you go to the computation exercise, my Lord, that you should make a finding that the total assets are 12.769 million.

MR JUSTICE MACDONALD: Yes.

C MISS CAMPBELL: And then you should make the adjustments which I have travelled through in the Form ES2, net effect.

MR JUSTICE MACDONALD: Yes.

D MISS CAMPBELL: Take off the inherited money, take off the Coinbase tax, the education fund, the Portuguese tax, and at para.23 I identify the £913,000 to be added back. My Lord, I will just deal with that in a little bit more depth.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: In my opening note at pp.13 and 18, I referred my Lord to the cases of *TT v CDS*, which was a Court of Appeal case ----

E MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: -- and *YC v ZC*, which was a case of His Honour Judge Hess; the former in 2020 and the latter in 2022. The Court of Appeal -- and I will read this out, my Lord. It is appended in the notes, so you will not need to note this down.

F MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

G "The general approach is that litigation conduct *within* the financial remedy proceedings will be reflected, if appropriate, in a costs order."

That is what we expect. This is para.46, my Lord.

H "However, there are cases in which the court has determined that one party's litigation conduct has been such that it should be taken into account when the court is determining its award."

So at this stage. So the Court of Appeal approved this approach, and they say that not only should you take it, or might take it, into account at this stage, but you could also do so and make a costs order. At para.78 of the authority, the quote reads:

"The depletion of matrimonial assets through litigation misconduct will plainly not always be remedied by an order for costs."

A That is where I say we are.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

B "As I have said, such an order simply reallocates the remaining assets between the parties and does not necessarily remedy the effect of there being less wealth to be distributed between the parties."

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

C "What is important is that, whether by taking the effect of the conduct into account when determining the distribution of the parties' financial resources ... and/or by making an order for costs, the outcome which is achieved is a fair outcome which properly reflects all the relevant circumstances and gives first consideration to the welfare of any minor children."

MR JUSTICE MACDONALD: Yes.

E MISS CAMPBELL: His Honour Judge Hess did exactly that in a case where he said one party's costs were grossly disproportionate. In this case, my Lord, we have exactly that. Nearly £1 million.

MR JUSTICE MACDONALD: Yes.

F MISS CAMPBELL: It is a phenomenal sum, and we are used to hearing these big figures in these courts. We only have to think about what it would do to our own finances to lose £1 million.

MR JUSTICE MACDONALD: Yes.

G MISS CAMPBELL: It changes people's lives. It means that you cannot live at the standard of living you may want to.

MR JUSTICE MACDONALD: Yes.

H MISS CAMPBELL: It means that you have to tighten your belt because it has gone. If it were a couple of hundred thousand pounds, although that is still a lot of money, we might not look in this way. But I say, my Lord, £913,000 on top of a million. A million, as I have mentioned earlier, is already, I say, a disproportionate sum to be spent, but nearly two?

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: So, my Lord, then looking back to my submission on para.23, these are the specific reasons I say you should add it back, and I have listed them here.

MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: Ordinarily, the respondent to a financial remedy claim bears the burden of the greater work. He holds the assets.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: He has to justify what has been done. He has to source lots of
- B** information, answer questions. It takes time to read the information, I do not deny that, but to find the answers and explain it is a much more burdensome task, and we are used to seeing in these courts the earner, the asset holder, having a bigger bill.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: That is the standard end result. Not so in this case. And we know that Mrs Zahmoul has not even bothered with most of the directions attached to her that this court thought was important, not what she thought was important. We do not have any of her updating disclosure, except debts. She has been quick to update those.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She is very quick to let us know the third party people who are likely to sue her as well. We have got evidence of that. But her bank statements or her credit cards, her tax returns?
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She still has not provided the F File documents. The F File documents and the US tax returns show the list of foreign accounts. She has just point blank refused. This morning there was a discussion, and overnight and through this morning
- F** my client has been again chasing evidence to show the Coinbase disclosure, chasing evidence to show the Portuguese tax returns. You will remember Mr Molyneux wanted to see the foreign table that was referred to as missing.
- MR JUSTICE MACDONALD: Yes.
- G** MISS CAMPBELL: My client has spent the best part of a day and a half obtaining and producing that information. We asked for the FBAR form with Mrs Zahmoul's list of foreign banks. She simply said no. So why are her costs even as much as Mr Zahmoul's?
- H** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: We know that Mrs Zahmoul has spent just shy of £220,000 on third-party costs. 168 paid -- sorry, 168 still due, and 51 paid to Nick Warr. Now, had that resulted in a consensus about the tax position, it might have been worthwhile, but we do not. We do not have any. Mrs Zahmoul challenges Mr Zahmoul, even now. She was spending more money getting TACS(?) to complain about his US tax return than even

- A** resolve this issue. My Lord, you might remember that certainly since September this has been a big issue. The court obviously wants to know what is the bottom line.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: What we have done, which is not economic for the parties, we have taken costs at the worst case scenario on the basis of liquidation, because we cannot get consensus with Mrs Zahmoul about how to treat it.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: If Mrs Zahmoul at the end of these proceedings chooses to cooperate with Mr Zahmoul, they can both save tax. It will be of benefit to them both. But because we have no confidence that that will be done, we have looked at the worst case scenario.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: But Nick Warr was not only instructed to try and sort out the tax, he was actually instructed to negotiate. My Lord, you will remember the document that Nick Warr wrote when he said: "I am instructed not to communicate".
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: Mrs Zahmoul told her advisers, with whom she had spent the best part of £200,000: "I do not want you to talk to Mr Zahmoul or his team".
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: That is destructive, not just wasteful. CipherBlade. CipherBlade Mrs Zahmoul tried to bring in right at the beginning in front of Her Honour Judge Cope, and there were real concerns about CipherBlade. It has now gone and Mr Sibenik has moved on.
- MR JUSTICE MACDONALD: Yes.
- G** MISS CAMPBELL: His methodology raised serious concerns that Mr Pinto was concerned about. And yet Mrs Zahmoul has paid -- we do not know how much but he has produced two reports. He has been engaged throughout months and months of discussions. I dread to think what he has been paid. Again, no application for his
- H** report to be relied on. It was slid in, not used, another waste of money.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The breaches. Countless breaches. We counted over 50 important breaches, so that you, my Lord, did not have an ES2 and Mr Zahmoul did not have a section 25 statement to answer, and there was no open offer. It was only when Mr Molyneux stood and addressed the court that we knew Mrs Molyneux(sic) wants it all.
- MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: How can you plan a case ----
- MR JUSTICE MACDONALD: Mrs Zahmoul, not Mrs Molyneux.
- MR MOLYNEUX: She has had it all. (Laughter).
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: (Inaudible).
- MR JUSTICE MACDONALD: It was, yes.
- MISS CAMPBELL: I am embarrassed, my Lord. I apologise.
- Burgess Mee - this is really interesting, my Lord, because I say this is another classic
- C** example of how money has been burned away. Burgess Mee have a bill of unpaid costs of £265,000. We know they have had £40,000 because they got the Detach loan extension, so that is on top of 40.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: And we know that Mr Zahmoul in the first LSPO order that my Lord made, £110,000, if you remember -- it was paid to Burgess Mee. They took the money and then were not instructed.
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: They kept 20 of that. So they have had 60 and they say they are owed 265. That is a bill for Burgess Mee of £325,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Do you remember what Mrs Zahmoul told you in her evidence, and
- F** indeed in her written evidence? "I had no legal support", she said, "for 12 months since Withers stopped acting in September 2022".
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She said: "Oh, Burgess Mee came on the record for the brief period to
- G** help me with my application". It turns out that brief period was actually October 2022 through to March 2023. We only learned about that later. At the time when she was making her LSPO application, she said: "I have been on my own for 12 months".
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: But somehow Burgess Mee have racked up a bill of £325,000. Where has that gone?
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: What have they done? Well, we will never know but, again, very good evidence, my Lord, of this money being burned for no good purpose, and this is hard-earned money, and one can understand, when you see the money disappearing like that, why Mr Zahmoul did what he did with the mortgage.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: It is ironic that he was accused of dissipating funds by paying down that mortgage. He did not breach the orders. Perhaps it was not within the spirit of the original Her Honour Judge Cope order, but he was permitted to do it. He could use money to pay the mortgage, which is exactly what he did. But, standing back, had he not, imagine what would have been spent. Certainly that \$700,000 or \$800,000 that was sitting in the reserve account. Actually it has been saved. We know Mrs Zahmoul came to court time and time again looking for liquidity, burning through assets, and even when, ironically, she asked for the Penn (inaudible) to be frozen, the last liquid asset - a complete lack of focus, misdirection, "save and secure because Mr Zahmoul is not to be trusted, he is dissipating my assets" - what she really wanted to do was spend it. In fact he offered her half, but half was not enough, she wanted it all.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So that is why I say that 913,000 should be added back, and Mrs Zahmoul should bear the lion's share of the balance. It is 858 when everything else is washed through.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And I say that that is right. My Lord, in para.25 I deal with income resources.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: Mr Zahmoul has not been a higher earner since 2014. My Lord, it is worth looking at the table at 2228 and 9 in the bundle, because this is actually illustrative of the parties' finances. It has caused some consternation for Mrs Zahmoul but she is simply not reading the document.
- G** MR JUSTICE MACDONALD: Sorry, which page?
- MISS CAMPBELL: 2228. 22-28.
- MR JUSTICE MACDONALD: Thank you. Yes.
- H** MISS CAMPBELL: Because what this shows -- and we have to remember, this was prepared to try and persuade the authorities what was clean capital so that there would be no tax to pay, because Mr Zahmoul had put himself offshore, and if he came back onshore all the money that he had spent that had been kept offshore would have been taxed. So he had to show as much clean capital as he could to limit that tax if he came back onshore. He actually stayed offshore for tax purposes, again saving thousands of -- hundreds of thousands of pounds, millions. But what his adviser has done here, as you will see, the very first column on 2228, this is all income.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: Everything from Barclays, everything from the shares from Barclays, the (inaudible) AP rewards, that is the Barclays shares. Then you have got the overseas relief. We have got profit from self-employment, profit from partnerships, dividends, income, foreign income. This is not just offshore income or onshore income, this is everything. Mrs Zahmoul completely missed that.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: This is everything that has ever been earned up to 2018, and then '18 to '20 we have got the Sphere Digital money, about \$300,000, which, because he was in Morocco and it was offshore, was not taxed. So that has to be added on. 600,000 is added on. But that is everything.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: And you can see all of the tax. My Lord, just look at the headlines, 2005, '6, '7. You can see the Barclays income is good, as you can see in 2010, getting really high in 2011. If you scroll down to the next page, my Lord, you see how that diminishes. 2015 is obviously the year that includes the final salary.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Then it goes down to nothing in 2018. All the shares are paid in. Then all we have left is the foreign income, and these are modest figures, my Lord.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: Those last figures, ignoring the Barclays award, look at the bottom three lines, and you can see the other income that Mr Zahmoul has had from 2014 onwards. We are talking about £22/23,000, 28 and a bit, 77. This is modest. So Mr Molyneux will tell you, my Lord, that Mr Zahmoul has a high income capacity. It is nonsense.
- G** There are two things to remember. When he left Barclays he earned modestly. He had for two years a reasonable income from Sphere Digital, but that ended up in litigation in Morocco. He had to go to a foreign country to earn that.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: He has capacity to work and he can earn, and that will supplement his basic needs. He is 58. One might think that after earning this sort of money and experiencing this sort of event in his life, that he may choose not to, and live more modestly, and he should be entitled to do that as long as the parties' basic needs are covered.
- MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: Mrs Zahmoul, I accept she has not got capacity to earn enough money to support herself but, like Mr Zahmoul, she can earn to supplement her income needs.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: She will have enough from my proposal, £150,000 net per annum, to live on, and she can choose to stay in bed, go skiing, do whatever she likes, hopefully not sue my client.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: And if she wants to earn more, she can, because she has a number of skills. She is a tenacious individual. She shows absolute commitment to a cause. She is obviously engaging, attractive. She is a woman who will be available in the work force of many industries that would love all of those attributes. Mrs Zahmoul may not work, and she too is entitled not to. She has had a long life of contributing to the family and to her husband, and she too may choose not to, as long as her basic needs are met.
- D** But they both have the capacity, in my submission, to supplement. So when you look at income resources, I ask you to accept that their resources, their income capacity is similar, and neither should need to exercise it unless they want to, and that is a matter
- E** for them at their ages.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: My Lord, I turn over to accommodation needs.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: Another aspect of section 25(2)(b), their accommodation needs and income needs. Accommodation first. Both parties are entitled to a roof over their heads obviously, but, remember, my Lord, this is a family that has rented their home since 2011.
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: They do not need to buy unencumbered freehold property. Our proposal assumes that they will, but that again is a matter for election. They can choose. What sum is the right figure that your Lordship should alight upon? I say £2
- H** million. What does the evidence say? Well, my Lord, you have been given scant evidence, I am afraid to say.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Mrs Zahmoul said in her section 25 statement -- and obviously we did not get this until late in the trial so I did not know what was coming.
- MR JUSTICE MACDONALD: No.

**IN PRIVATE**

**A** MISS CAMPBELL: But she says she wants a home in Wyoming, London, Boston and New York City, Upper East Side Manhattan. No property particulars. We have got no idea what £2 million, or 3 million or 4 million or 5 million will buy. I am sure Mr Molyneux will be instructed to tell you. But the 3 million she referred to in her statement as

**B** modest. There is no evidence. Your Lordship will look at the fact she has elected to stay in Wyoming ----

MR JUSTICE MACDONALD: Yes.

**C** MISS CAMPBELL: -- and actually, looking at the 12 accommodation property she is in at £6 million, one would assume that a decent small home for a family could be acquired in perhaps the less attractive tourist areas for 2 million.

MR JUSTICE MACDONALD: Yes.

**D** MISS CAMPBELL: But, my Lord, you should not really need to speculate about what you can you buy overseas. The court can take judicial knowledge of what happens in this country, and in this country in Cheltenham, where Mrs Zahmoul has lived, you can buy a palace for £2 million. My Lord, we know, you can buy decent family home in most of the good boroughs in London for £2 million. My Lord, in the void that you have

**E** been given, I invite you to accept that for a couple who have always rented, £2 million is more than sufficient to meet their housing needs.

MR JUSTICE MACDONALD: Yes.

**F** MISS CAMPBELL: What about income needs then, my Lord? I have already said that my proposal would give Mrs Zahmoul about £3 million, depending on what she does with the rest of her money. That will, on a Duxbury fund, give her £150,000 per annum for life.

MR JUSTICE MACDONALD: Yes.

**G** MISS CAMPBELL: We know that often in these courts judges will alight on the here and now, and then frequently reduce it by a third - the common approach - on retirement.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: Because the parties spend less money as they get older.

**H** MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: I am conscious that Mrs Zahmoul will say 150 is not enough anyway, so, my Lord, I have proposed 150 which is a flat figure. It might not be enough now, but it will be more than enough later. My Lord, you will want to ask yourself: is this enough for this family?

MR JUSTICE MACDONALD: Yes.

**A** MISS CAMPBELL: This is an important aspect of my submissions, my Lord, because I anticipate Mr Molyneux will say to you: "This is a family that has lived on £1 million a year. Mrs Zahmoul needs £600,000". That is what she has put in her statement. If he is sensible, he will say to you: "Well, I am not even going to press that on my Lord, but  
**B** 250, that is a reasonable figure, or 300".

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: My Lord, that is not needs. Needs are what you require to furnish and keep your home, to keep warm, to have food on the table, to have clothes, to have  
**C** holidays.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: The standard of living during the marriage was not the benchmark of needs. That was the benchmark of profligate spending.

**D** MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And Mr Zahmoul alerted his wife to it throughout the marriage. This was never a consensual way of spending. My Lord, I took Mrs Zahmoul to these documents, and I have referred to them in para.36. We have got contemporaneous  
**E** records in 2014, '15, '18, '19 and '20, that is before the divorce got going ----

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: -- of him saying: "We cannot really afford what you are spending. Can you cut back?", and Mrs Zahmoul saying: "Oh, I am sorry, I know I should not have  
**F** done that". This spending is not needs and it should not be used to reflect the standard of living. It was never affordable because from 2018 onwards this has come from capital. Now, if this couple had stayed together and carried on spending like that, there would be nothing left, and they might have done that. We will now dissect their  
**G** resources and, my Lord, you need to be sure that Mrs Zahmoul's needs can be met, not that her election to plough through capital is respected at a cost to Mr Zahmoul. Do not be tempted if Mr Molyneux says to you: "Well, look, there is 12 million here. Give 5 to him because he can go out and work, and give 7 to her because she has got very high  
**H** expenses". That is not right. The court needs to first of all identify: is there a maintenance provision here? Well, maintenance is paid when someone is working. Mr Zahmoul is not avoiding work. This family's lifestyle choice is he has not really worked since 2020. For four years they have been living off capital so there is not a maintenance claim. Is there - the next question - enough capital to meet her needs?

MR JUSTICE MACDONALD: Yes.

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A MISS CAMPBELL: Well, stepping back, £5 or £6 million, of course there is. Is there enough to meet her spending at the level she wants to spend? No.  
My Lord, that takes me to the authorities, and while I am on this, I am slightly out of sync in terms of the note. But if I can ask you to turn to p.64, I will talk about the  
B authorities because I have come to that point sooner than I had anticipated.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: I take my Lord to *SS v NS*, which is a famous case about maintenance which is trotted out time after time.

C MR JUSTICE MACDONALD: It is.

MISS CAMPBELL: But it asks some useful questions, and I have included it here so that you can see the context, and I have highlighted it in bold.

MR JUSTICE MACDONALD: Yes.

D MISS CAMPBELL:

"Assuming that the marital choices have given rise to hard needs [this is what you need to feed and clothe yourself] which have to be met by a spousal maintenance order, the next questions that arise are: how much and for how long?"

E MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: He, Mostyn J, then went on to quote the Law Commission, and the Law Commission looked at that, and at para.34 of the authority, Mostyn J quotes, in answer  
F to the first question, how much:

"Exactly how, and at what level, needs will be met will depend on the resources available ..."

G So, my Lord, point number one: what is there?

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

H "... and usually [usually if you would] the marital standard of living."

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: In brackets: the affordable marital standard of living. He goes on to quote the Law Commission:

"Replicating the marital standard of living in two homes, after divorce, will be rare ... "

**IN PRIVATE**

**A** This is exactly that. It is not just poor families who do not have enough. Wealthier families do not have enough to continue in the way they want to.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

**B** "... most parties will not be able, in the short to medium term, to live at the standard they enjoyed during the marriage."

Exactly where we are here.

**C** MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: He goes on to quote:

**D** "That said, their former standard of living will be relevant in so far as any reduction in standard of living as a consequence of the financial settlement made on divorce should not fall disproportionately on one party."

**E** So do not be lured by Mr Molyneux into giving Mrs Zahmoul much more capital so she can live at 250,000 or more per year because Mr Zahmoul could work. That would be disproportionately unfair, that he would have to work to try and catch up, to even get halfway, and she would still have the excess. That is exactly why the invitation to give more to meet needs at an inflated level appears attractive ----

MR JUSTICE MACDONALD: Yes.

**F** MISS CAMPBELL: -- but it is so dangerous, because what is fair for one is fair for the other. He says in para.35, again a much quoted phrase but one worth remembering:

"I would emphasise the final sentence. It is a mistake to regard the marital standard of living as the lodestar."

**G** And that is exactly where we are.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: So, my Lord, going back to para.34 ----

**H** MR JUSTICE MACDONALD: Miss Campbell, I am aware of the time.

MISS CAMPBELL: I am so sorry. I am very sorry. I will be about five more minutes.

MR JUSTICE MACDONALD: Then I think we will conclude your submissions before I rise. Yes.

MISS CAMPBELL: The income needs, you will want to fix a figure for Mrs Zahmoul's reasonable needs, and at para.38 I refer to the figures that Mr Zahmoul has said in his budget, and I have given you the reference there, about 12,000 a month, which has

**A** some resonance because the MPS budget that you made, the order you made in June, was for £11,762, which is similar, and in fact what had Mrs Zahmoul been spending through the marriage, £2,000 a week-plus, but basics ----

MR JUSTICE MACDONALD: Yes.

**B** MISS CAMPBELL: -- £2,000 a week, which is 104. 150,000 will cover all of that. It is not necessary to provide for costs in Wyoming, Brooklyn, Manhattan, a housekeeper. Where would the housekeeper go? So £150,000 per annum, and a capital fund of 3 million.

**C** My Lord, para.46, this is a long marriage, the parties are of a similar age but nearing later middle age where they will be thinking about retirement.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: They have had an unusual marriage but I accept going on till 2020.

**D** MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: The fact that Mr Zahmoul continued to share so much financial information does not mean that Mrs Zahmoul's conduct in stealing his confidential information is acceptable. That was unlawful. It was a breach of his privacy and his confidential documents. She knew it was not right because she did it secretly and she kept back the documents and she tricked him.

**E** Disabilities, mental or physical. My Lord, there is no evidence of either save for the letter from Gerald Libby, and I ask you to treat that with caution, my Lord. That is para.50.

**F** MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: It refers to PTSD in 2013. We have got no details of that report, no surrounding medical records, no information, except a letter which appears, on the face of it, to be pretty self-serving, referring to coercive and controlling behaviour that has crippled Mrs Zahmoul. Well, that is not consistent, I say, with her own case and the letters we looked at, which were full of love. Of course relationships have their ups and downs, but this is not one that would, in my submission, require the court to treat Mrs Zahmoul as somebody with a mental deficiency of any form.

**H** MR JUSTICE MACDONALD: No.

MISS CAMPBELL: Because she has been -- and she has shown commitment, as I have said, tenacity, and I would add, my Lord, that my submission to you, as an observer in these proceedings, is that Mrs Zahmoul has shown an ability to be very strong, determined, not to be cowed. This is a woman who you might say is fully in control. It may not be

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**A** the control that I would have or would take, maybe not ones that your Lordship might take, but it is certainly a woman who is not being bullied by anyone.

MR JUSTICE MACDONALD: Yes.

**B** MISS CAMPBELL: My Lord, I have also referred over the page on para.55 to the fact that Mrs Zahmoul had no hesitation in bringing and threatening proceedings against Mike Deeg, Bitwyre, Tifern(?), the Bank of Jackson Hole. This is a tenacious, strong and independent woman.

MR JUSTICE MACDONALD: Yes.

**C** MISS CAMPBELL: Do not feel that her conduct and behaviour through these proceedings is such that should either justify the historic conduct or such that you need to give her greater allowance, because I can assure you, my Lord, and this is an important submission I want to make, this has been a difficult time for Mr Zahmoul. He has not  
**D** displayed his anxiety, his concerns in the same way, but both parties have found this difficult. My instructions are that Mrs Zahmoul is very adept at playing to the audience when it suits her, because when she has wanted to, she has been able to give very defiant, very clear and very obstinate instructions throughout.

**E** My Lord, I have referred to your judgment, which I know you will be aware of.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: I want to just deal with the last point about the mortgage.

MR JUSTICE MACDONALD: Yes.

**F** MISS CAMPBELL: That was paid down, my Lord, and at para.63 I have a table there which sets out the costs that increased over the period of time that the court was dealing with this application.

MR JUSTICE MACDONALD: Yes.

**G** MISS CAMPBELL: It is a point I have made orally, but here are the figures. You will see where the yellow line is. The parties' costs were pretty similar.

MR JUSTICE MACDONALD: Yes.

**H** MISS CAMPBELL: That was back in August 2021. But for the first time it was apparent to Mr Zahmoul that his wife was proposing to spend another £318,000, compared to his 145. It was already going to be double. By the hearing in May, the costs had gone up to 248 -- sorry, 393 incurred. So more than double in that period.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And by June up again to 586, with a proposal to spend nearly another 500.

MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: My Lord, by July, look at the figures. I mean, these were huge increases. It is perhaps not surprising that in September, on the 15<sup>th</sup>, when Mrs Zahmoul revealed her third-party costs, that Mr Zahmoul went straight out to the bank and paid off the mortgage.
- B** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I ask that that is put in context. My Lord, I have given you the quotes already in respect of the authorities.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: And at para.66 I set out the stages of the order that we seek. I ask my Lord to look in particular at para.(m) - I am asking for £150,000 to be retained from the pension proceeds as a war chest to defend any proceedings that Mrs Zahmoul may bring against Mr Zahmoul. I had initially in my opening note asked for a contingent lump
- D** sum, but it seems very open and it requires more litigation to get. If there is a sum set aside for any litigation that touches upon the issues that have been resolved in this court, I say that that is vexatious and Mr Zahmoul should have some money to defend himself.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: If Mrs Zahmoul is prepared to give an undertaking not to pursue that action - because Mr Zahmoul was asked to give an undertaking to protect her from his conduct, which he could give - she should, if she was reasonable, do the same. Then, if
- F** that undertaking is forthcoming, we do not need a war chest.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: But if she refuses, in my submission, it is right that Mr Zahmoul has some protection. My Lord, I have taken more time than I promised, and I apologise.
- G** MR JUSTICE MACDONALD: Do not worry. Thank you very much, Miss Campbell.
- Thank you. Mr Molyneux, I will hear your submissions at 2.15. I believe you might have been told that I need to rise at 4.00. In fact I managed to write the speech that I was due to be giving at 5.00 whilst I was waiting for this case to come on, so you now
- H** do have until 4.30, possibly slightly longer.
- MR MOLYNEUX: I am hoping I do not need it.
- MR JUSTICE MACDONALD: Thank you very much.
- MISS CAMPBELL: Thank you, my Lord.

(Adjourned for a short time)

IN PRIVATE

- A** MISS CAMPBELL: My Lord, over lunch I have had instructions from my client that the litigation in the US is continuing ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- at a pace. There is actually a hearing on 4 March.
- B** MR JUSTICE MACDONALD: I see.
- MISS CAMPBELL: And at that stage there will be directions for a fully-blown hearing ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- as I understand it, if my client (inaudible).
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I would like to add an amendment to my final position.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: That the transfer of the property at 3100 does not take place until the
- D** litigation is brought to an end.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Because it seems that that would be more effective, if your Lordship considers it appropriate, in trying to bring about a resolution to that litigation.
- E** MR JUSTICE MACDONALD: Indeed, yes.
- MISS CAMPBELL: Thank you, my Lord.
- MR JUSTICE MACDONALD: Thank you very much. Yes, Mr Molyneux. (After a pause)
- MR MOLYNEUX: My Lord, just one second while I get a glass of water.
- F** MR JUSTICE MACDONALD: Yes. (After a pause)
- MR MOLYNEUX: Well, my Lord, this is it. This is the end ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- of this litigation. After the best part of four years, a bundle that now
- G** extends to 4300 pages.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And many, many thousands of other pages that did not make the final cut although they auditioned for the final bundle.
- H** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And what is this case ultimately about? I think it was Justice Potter Stewart in the US Supreme Court in a very well-known case called *Jacobellis v Ohio*, which was all about obscenity and the issue in the case was: what is obscene, what is obscenity? And he said: "Well, I know it when I see it". It is a very similar notion in the Hound of the Baskervilles where Sherlock Holmes is presented with a picture and he is asked whether that is good art, and he says: "Well, I know good when I see it".

- A** And you should know a non-disclosure case when you see it, because that is what this case is all about. It is about non-disclosure. It is about whether or not Mr Zahmoul has deliberately and dishonestly sought to - and, if so, whether he succeeded in so doing - not make proper disclosure of his financial resources.
- B** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And we say, my client says that, looked at in its entirety, the issue for you is not has he tried to do that, because obviously he has tried not to make full disclosure. We are going to look at the details of that in closer examination shortly.
- C** The real issue is: has he succeeded in relation to other things about which we do not yet know? I mean, it is pure happenstance that we have stumbled across - or, as he was would have it, that he has stumbled across - US\$800,000. I mean, that would never have seen the light of day if it had not been for the enquiries which put him on notice
- D** that it was about to be discovered, the Xapo account. Otherwise we would be sitting here today with no visibility at all about that asset. The same pretty much in relation to Gemini, and who knows what the position would have been in relation to the Coinbase equity.
- E** So I do not want you to think -- and it is easy, in a way, to characterise Mrs Zahmoul as this, because she feels passionately about this case and the way that she has been treated, but she feels passionately but at the same time rationally about it. I do not want you to -- not that you would do this of course. But I do not want anyone to dismiss her
- F** as someone who is gripped by some insane desire for pointless disclosure by way of punishment of Mr Zahmoul without regard to the costs or the consequences or anything else, because it is just not like that. I said at an earlier hearing (probably self-indulgence of the advocate) that she was in the position of Cassandra in Greek
- G** mythology whereby she was condemned to know the truth but have no one believe her, as she sought disclosure in relation to cryptocurrency, as she sought the appointment of a single joint expert. There she was saying: "He is not telling the truth. He has not made full disclosure", and the answer was coming back: "Well, we are not getting a
- H** single joint expert quite yet and you are not having this disclosure quite yet".
- And of course we now know that at the point where she was making those submissions, which were being pilloried, which were being rejected by Mr Zahmoul and his team, there was a million dollars of crypto. A million dollars of crypto which he had not disclosed which were in accounts in his name. So when at the beginning of 2022 -- and this is an important data point. When, at the beginning of 2022, she was saying to the court: "He has not made disclosure. There are assets which he has not told the court

- A** about", she was right, and everybody was saying she was wrong. I pause there. If that was referable to £100,000 or £200,000 or £300,000, it would be bad enough. But at today's values, we have 20/21 Bitcoins worth - what? - the fat end of \$1.1 million, all at that point, in the spring of 2022, in his name, none of which he was owning up to.
- B** Now, of course his explanation is: "Well, some of them were not actually mine. They were in an account in my name, but they were not mine. Others I had forgotten about. Easily done, 16 Bitcoins, just forgotten about them". But the reality is -- and we will explore the plausibility of those explanations, but the reality is that he had those crypto
- C** assets, and the court did not know about it, and Mrs Zahmoul was saying they existed and she was right.
- Now, this is a case in which there can be no dispute that the husband's Form E was deficient, grossly deficient.
- D** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: It is a case in which there can be no dispute that it entirely omitted what in today's money is worth \$1.1 million of cryptocurrency which was in his legal name and for the most part, 16 out of those 21 undisclosed Bitcoins, in his beneficial
- E** ownership. With good reason does Mrs Zahmoul look back at that time and the way that she was being treated, and reference it using the now popular expression of gaslighting, because he was denying what was ultimately shown to be true, that he had not made a proper, frank, full fist of his disclosure obligations.
- F** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: In the light of that, because it is very hard when someone is not telling the truth and you know they have not told the truth and they have got form for not telling the truth -- it is very hard to quantify the assets because ultimately this whole
- G** exercise is dependant, broadly speaking, on the honesty and integrity of the litigants that participate in it, and when you strip away that honesty and integrity, what are you left with? Well, not very much at all, and it is for that reason that she seeks the entirety of the visible resource on the reasonable likely working assumption that it represents only
- H** a fraction of the total divisible resource. In those circumstances, she should not be the one who suffers any penalty arising from non-disclosure. I say that at para.5. In fact I should have handed these out, because it will save people taking a note. (Same handed) I should have done that at the outset. (After a pause)
- MR JUSTICE MACDONALD: Yes, thank you.
- MR MOLYNEUX: I can send a soft copy of this, as I am sure Miss Campbell will as well, so you have got a complete record of everything that has been said.

A MR JUSTICE MACDONALD: Thank you.

B MR MOLYNEUX: You see at para.5 of that, that I have set out what the position is vis-à-vis the order that Mrs Zahmoul seeks. I do not shy away from saying that in most cases it would be a pretty bold submission, would it not, to say: "I want everything"? I am not saying that Mrs Zahmoul wants everything, far from it. She chances upon, she alights upon the visible resource because that will be the most easily enforced and enforceable set of resources, but she does not for a minute believe that that equates to even 50% of the total resource.

C MR JUSTICE MACDONALD: Yes.

D MR MOLYNEUX: The law. I am going to canter through the law, because you will know it and because it is set out both by Miss Campbell and by myself in our respective position statements, but we should look briefly at the case of *Moher v Moher*, a case in which I came second in the Court of Appeal.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: It starts as para.83, the bottom of p.2:

E "In my view, Mr Molyneux's submission is, in its effect, the same as the submission which was rejected by the Court of Appeal in *Baker v Baker*, namely that 'unless assets can be shown positively to be available an order cannot be made' ..."

At para.84, Moylan LJ continues:

F "I also consider that to impose the proposed requirement on the court in all cases of non-disclosure would be inconsistent with the overriding objective which requires the court to deal with a case in a proportionate manner, to save expense and to allocate to a case an appropriate share of the court's resources."

G Overleaf, at the very top of this page, para.85:

H "Further, it would seem to me likely not to assist but to impede the court's task of achieving a fair outcome if the court was *required* to seek to fill in the gaps created by a party's failure to comply with their disclosure obligations. This failure will already have impeded the court's task and, again, imposing this requirement would be to compound the consequences. I emphasise required because there will be many cases in which the court, despite the non-disclosure, will be able to and will need to make specific findings (as in *Prest v Petrodel*). But this is very different from saying that the court must always do this."

Paragraphs 87, 88, 89 and 90 set out some conclusions:

A "87. (i) It is clearly appropriate that generally, as required by section 25, the court should seek to determine the extent of the financial natural resources of the non-disclosing party.

B 88. (ii) When undertaking this task the court will, obviously, be entitled to draw such adverse inferences as are justified having regard to the nature and extent of the party's failure to engage properly with the proceedings. However, this does not require the court to engage in a disproportionate enquiry. Nor, as Lord Sumption said, should the court 'engage in pure speculation'."

C MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX:

"As Otton LJ said in *Baker v Baker* ... [as] reiterated by Lady Hale in *Prest v Petrodel*:

D '... the court is entitled to draw such inferences as can properly be drawn from all the available material, including what has been disclosed, judicial experience of what is likely to be concealed and the inherent probabilities, in deciding what the facts are.'

E 89. (iii) This does not mean, contrary to Mr Molyneux's submission, that the court is required to make a specific determination either as to a figure or a bracket. There will be cases where this exercise will not be possible because the manner in which a party has failed to comply with their disclosure obligations means that the court is 'unable to quantify the extent of his undisclosed resources', to repeat what Wilson LJ in *Behzadi v Behzadi*.

F 90. (iv) How does this fit within the application of the principles of need and sharing? The answer, in my view, is that, when faced with uncertainty consequent on one party's non-disclosure and when considering what Lady Hale and Lord Sumption called 'the inherent probabilities' the court is entitled, in appropriate cases, to infer that the resources are sufficient or are such that the proposed award does represent a fair outcome."

H Which is what happened in *Al-Khatib v Masry*.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX:

"91. This approach is both necessary and justified to limit the scope for what Butler-Sloss LJ accepted could otherwise be a 'cheat's charter'. As Thorpe J [as he then was] said in *F v F*, although not the court's intention, better an order which may be unfair to the non-disclosing party than an order which is unfair to the other party.

A This does not mean, as Mostyn J said in *NG v SG*, at [7], that the court should jump to conclusions as to the extent of the undisclosed wealth simply because of some non-disclosure. It reflects ... that the court must be astute to ensure that the non-discloser does not obtain a better outcome than that which would have been ordered if they had complied with their disclosure obligations."

B MR JUSTICE MACDONALD: Yes.

C MR MOLYNEUX: The court should be astute to ensure that the non-discloser does not obtain a better outcome than that which would have been ordered if they had complied with their disclosure obligations.

D Let us go back in time. Let us imagine we are trying to settle this at the first appointment, or before the first appointment on the basis of Form Es. My client would have been encouraged to reach a deal on the basis of an asset schedule shorn of at least 800,000 of beneficially owned cryptocurrency, quite possibly another 200,000-and-something of certainly legally held, and we say beneficially owned, cryptocurrency, and an asset that was shortly to become 7 million. And of course if Mrs Zahmoul had succumbed to the blandishments of Mr Zahmoul and done a deal in the month that followed that first appointment, she would have been doing a deal on the basis of what then would have been disclosed assets of 10, 11, 12 million sterling, as opposed to what would have been the resource of a much higher figure had not so much money been spent as a consequence -- I underscore this, as a consequence of the way that Mr Zahmoul has behaved. She would have been doing a deal to draw those threads together on the basis of fraud and dishonesty and misrepresentation. And she did not, because she pressed on because she knew that something did not smell right.

E And of course now we come to the end game. We come to the final night of the performance and we see Mrs Zahmoul being criticised for all the money that she has had to spend in order to have any hope of getting anything like a fair and just outcome on the basis of transparent disclosure on the basis of trying to understand what the true resources are, and that is unfair on her. That is why she has fought so hard for fairness.

G Now, para.7 deals more expansively with the law on conduct in *OG v AG*, drawing those threads together, although the Court of Appeal did not agree with Mostyn J that the court is obliged to quantify the hidden funds because of course in *Moher* my submission on behalf of the appellant in that case was that unless the court was able to identify in broad terms and put a figure on the totality of the undisclosed resources, then the court was falling into error, and the Court of Appeal said, no, there will be cases where that is just not possible where someone's absence of engagement or the depth of

A their failure to disclose is such that it would an unfairness to the applicant to require the court to limit itself to that which it can try and identify.

MR JUSTICE MACDONALD: Yes.

B MR MOLYNEUX: And visibility is not everything. There are some cases where it is better that the non-discloser suffers any injustice than the other receiving party, and of course this is one of those cases.

C So those threads are brought together by Mostyn J in *OG v AG* at 1 through to 4. The court is duty bound to consider, by the process of drawing adverse inferences, whether funds have been hidden. We say tick in this case. 2. But such inferences must be properly drawn and reasonable. It would be wrong to draw inferences that a party has assets which, on an assessment of the evidence, the court is satisfied he has not got.

D Well, that gets a tick here when we look at the way that the parties have lived, the standard of living which they have enjoyed, the standard of living which the husband has continued through these proceedings, Mrs Zahmoul says, to enjoy, and nobody would have spent as he has been spending absent the existence of those undisclosed resources. 4. In making its judgment as to quantification, the court will look first to direct evidence such as documentation and observation about the other party. And then the point that I have just touched upon, the court will then look to the scale of business activity and lifestyle.

Then, just in this romp through the law, a final references to *GW v RW*.

F MR JUSTICE MACDONALD: Yes.

G MR MOLYNEUX: This is Mostyn J - Nicholas Mostyn QC (as he then was) - who draws the court's attention to an immutable truth in this type of proceedings, that there is an obligation on someone filling in a Form E to make that Form E comprehensive and comprehensible, so the other party is not cast in the role of some sort of forensic detective, some sort of forensic ferret trying to get to the bottom and understand and piece together the documentation that has been provided. That is not the role of Mrs Zahmoul, or should not have been the role that she had to fulfil.

H MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And yet it has been the role that she has had forced upon her because right from the get-go - right from the get-go - Mr Zahmoul did not tell the truth, did not make proper disclosure. Everything that has flowed from that date, all of the costs that have been incurred, the costs that have been wasted, are down to him. If he had adopted a different approach, if he had adopted a more honest approach right at the beginning of these proceedings, we would not be where we are now, and nobody would

**IN PRIVATE**

- A** be looking at 2.8 or 2.9 (or whatever the final bill comes in at) of costs. You would be looking at a much smaller figure, a much smaller figure, and that is not my client's fault. Now, what is Mr Zahmoul's non-disclosure and how did it inform Mrs Zahmoul's case? I say there that a lie leads a man from a grove into a jungle, and ain't that the truth in a
- B** case such as this? Because you start off with one thing and after that everything snowballs, and if you are caught out not telling the truth, not giving the full picture, then not only do you have to put your hands up immediately, but you also then have to make sure that the quality of your subsequent disclosure is absolutely spot on, that you are,
- C** like Ceasar's wife, beyond reproach, beyond suspicion. Mr Zahmoul of course did not do that, because it really has been death by a hundred cuts. We have moved on from Coinbase to try and get to the bottom of that, and we then go on to Gemini, we try and get to the bottom of that. We then go on to Xapo, we try to get to the bottom of that.
- D** We then go on to Ambience, we try and get to the bottom of that, and so on and so forth. And whose fault is this? Not my client's, but Mr Zahmoul's. So this case was set on course by that initial act of non-disclosure, that initial dishonesty because that, when we look at the evidence, is the only conclusion I say that the court
- E** can arrive at. Of course the way that Mrs Zahmoul has been treated subsequently is very, very unfair. I am not going to take you to every individual letter, but you will recall we looked at some of the letters, and the tone of the letters from HFC originally referencing her belief that there is some grand conspiracy or that she is pursuing a grand
- F** conspiracy, that is not just the only example of her being, if not ridiculed, then certainly having her approach severely questioned, is both unattractive and unfair. His Form E presented the court's dispositive powers as being 14.7 million less capital gains tax. In fact at that time he realised, or must have realised, because he did not make full and
- G** frank disclosure, that they were understated by \$7 million. It is really interesting to look at, in my respectful submission, the costs up to the end of the private FDR, because up to the end of the private FDR you will find -- the reference is p.1895.
- H** MR JUSTICE MACDONALD: Yes.  
MR MOLYNEUX: You will find at 1895 -- I referenced it in evidence when asking questions of Mr Zahmoul. On 19 July 2021, so at the FDR, his total costs were £163,000 and Mrs Zahmoul's were £126,000. By the time we get to the PTR, the first PTR in July -- in fact I think it was described as a PTR, but it was actually a directions appointment, in March 2022, her costs are 393,000, and his costs are 247,000. Why have the costs grown in that way? Not because Mrs Zahmoul wanted to spend all that

A money, not because she was someone who required her hand holding, required a Rolls-  
Royce service right from the beginning. Because had she been that type of litigant, had  
B she been that sort of unreasonable character, that would have sounded in those initial  
costs. We would have seen that up to the FDR, because there is plenty of scope for  
C spending money up to an FDR. But she did not. She was spending less than he was  
spending, and it is only his non-disclosure in relation to Coinbase - a very significant  
feature in the case - that has encouraged her and led her to the conclusion, subsequently  
validated by further non-disclosures, that she was being taken for a fool, and that the  
court was being taken for a fool.

So what of these non-disclosures? It is very important to look at the chronology of the  
Topanga and Coinbase disclosure.

MR JUSTICE MACDONALD: Yes.

D MR MOLYNEUX: That takes place -- all of this takes place against the overarching reality  
that Mr Zahmoul was not some private equity hobbyist, some ingenue who purchased  
this and then put it in a top drawer and forgot all about it. He was a keen and  
enthusiastic devotee of the crypto sector, who happened to invest at a relatively early  
E stage in Coinbase equity, and thereafter could not really believe his good fortune. As  
we will see, it was not something that was then forgotten about and not commented and  
not remarked in group chats involving him. It was something that was at the forefront  
of his mind. On 17 March 2021 he deposed to a Form E, and at para.2.4 of that Form E  
F he listed his investments. Eighth on that list, you will find at p.752 ----

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: -- what was said to be a holding in Topanga Holdings LLC, and the type  
of investment, it reads simply "US company". There was no narrative gloss  
G accompanying this unassuming entry, and its value, without further commentary, was  
said to equal the \$75,000 holding. And there matters were left until the first  
appointment, which took place a matter of weeks later. The first appointment was on 7  
April 2021. Counsel for the wife produced an asset schedule. We have that asset  
H schedule and we find it at p.881. In the asset schedule at 881 we can see in very small  
print that it is prepared on behalf of the wife. It has got "Topanga Canyon Holdings  
LLC, a US company. H paid \$75,000 for shares". It considers -- sorry, "some in capital  
account, K1 2019. H has 7.109% shareholding. Company business unclear".  
Company business unclear - well, that was not true. Now, that was produced of course  
on behalf of the wife, but it was a document that was passed between the parties and  
went before the judge. Everybody would have seen it. Everybody would have seen the

A narrative accompanying it, and how easy would it have been on 7 April, the very point at which the court is involved in the white heat of housekeeping, trying to make sure the parties have got a visible balance sheet to enable them to negotiate -- how easy would it have been for Mr Zahmoul to say on that day, or shortly thereafter but really on that day: "This holds equity in Coinbase and actually it is worth an awful lot of money. I do not quite know how much because it has not floated, but that is probably going to happen in the next few days, and this is a real windfall. So the figure there is not right at all. The figure should not be £1.118 million for private equity investments, it should probably be closer to 7 million, and it is important that I tell you now, Judge, and Mrs Zahmoul". But, no, he did not do that. He could have done it. He deliberately chose not to do it. That is the only explanation. If this was beyond a reasonable doubt, he would be bang to rights on that point, but of course you do not have to be that sure.

D MR JUSTICE MACDONALD: No.

MR MOLYNEUX: Because we are dealing with things on a balance of probabilities. And the wife had of course made clear her concerns about the degree of transparency that she was being shown by the husband in advance of the FDA because she puts it in her statement of issues, and I say at 15(b), "whether the respondent has given a full, frank and clear account of his financial resources in his Form E". Again, it is an illustration that although she had those concerns, her costs were still pretty proportionate. She was not racking up costs. She was not behaving unreasonably. She was putting down a marker and she was seeking explanations and answers on the basis that she still hoped at that point that Mr Zahmoul would be a person who would tell the truth, or at least tell the truth when gently prodded.

Of course what we now know, because he tells us, is that Mr Zahmoul knew of plans for a listing, and he must have known that on listing the value of the Coinbase equity held within the Topanga LLC would be many, many multiples of £75,000. And it is no good being coy and saying: "Well, I was a bit superstitious. I was adopting a literalist approach in Form E". It is no good saying: "Well, I told my solicitors", in circumstances in which he has produced no evidence of that, and deliberately has not sought to draw back the veil of privilege. The court will draw its own inferences from that. None of that is good enough. Of course we know that he knew that he was sitting on something valuable because he says so at p.1343 in his statement.

H MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Just before he tells the court that he approached the Form E disclosure exercise literally -- of course he did not because in relation to other assets he values

A them at the current date, so it is only Topanga where he adopts this literalist approach,  
and just above where he says that he claims to be quite conservative and superstitious  
B about investments: "I have never considered a realisation or increase in value likely to  
occur until it actually happens". I mean, really? And even if that were true, that does  
not absolve him of the need to tell the truth so that everybody else can conclude  
whether or not he is being reasonably conservative and reasonably superstitious, if  
superstitious is ever reasonable. But we know all this because at para.24 he says:

C "I accept that I should have stated on my Form E dated 15 March  
that there were discussions, plans for an upcoming Coinbase direct  
listing, albeit these plans had not been finally confirmed, and, for  
full clarity, explained that TCH was a vehicle for holding Coinbase  
shares."

D MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: So he says in terms that he knew that there was going to be, or very  
likely to be, because it had all been announced, a listing of these shares, and he chose  
not to say it. Out of his own mouth, that is what he is telling the court. Now, of course  
E he says: "Well, this all sounds very" -- perhaps he would not have said it quite in these  
terms, but he might say: "This all sounds very damning. But, Mr Molyneux, you are  
not telling the judge one important thing, and that is that my wife knew about this all  
along so if I did not dot the Is and cross the Ts in relation to my Form E, it is because I  
F thought this was a victimless crime because she knew. I told her, she knew all about it.  
There was no real need to iterate and reiterate in my Form E or subsequently because --  
well, because she just knew".

MR JUSTICE MACDONALD: Yes.

G MR MOLYNEUX: "So she is playing dumb now and saying, oh, well, she did not know, and  
this is a sort of awful way to behave and it has caused all this cost and non-disclosure  
on a gross scale, but actually she knew". There are a number of pointers as to whether  
or not that has any plausibility at all. Of course the answer is it does not have any  
H plausibility at all. She did not raise it in correspondence. I mean, the one thing that we  
must have learnt over the course of the last eight days about Mrs Zahmoul is that had  
she had a suspicion, had she thought that there was something that was in the Form E  
that was not entirely true, had she thought that the Coinbase equity was missing, is it  
really conceivable that she would not have raised it in a questionnaire? Is it really  
conceivable that she would have signed off her counsel's asset schedule in which she  
does not identify that as being an issue? I mean, she really would have to be playing a

**IN PRIVATE**

- A** very, very long game, would she not, to go along with this apparent non-disclosure, especially when she never raises it. She even agrees to mediate on the back of an entirely bogus asset schedule. She does not even raise it in advance of the FDR, because we know that it was only two working days before that it is mentioned at all,
- B** and the notion that she would have kept schtum in relation to this asset, told nobody, known about it but chosen not to raise it, is an absurdity, and the court should have no truck with it.
- Of course Mr Zahmoul, the husband, might have referenced the flotation of Coinbase to
- C** her. I say at 15(g) he might have commented to her about the flotation of Coinbase, as we saw that WhatsApp messages in which she replies. I cannot even -- this is where we have got to in relation to emojis, that although I understand what it means, I cannot convert it into language.
- D** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: I think that is what emojis are meant to do. I suppose if I were trying to do that, it would be a sort of excited, cheeky surprise.
- MR JUSTICE MACDONALD: Yes.
- E** MR MOLYNEUX: But it is doing an awful lot of heavy lifting, is it not? You could well imagine that that is the type of thing that Mr Zahmoul might convey to Mrs Zahmoul as a manifestation of the rise and rise of cryptocurrency in which she knew that he was profoundly engaged, but it is a world away from drawing the conclusion that it proves
- F** that she knew that he had \$75,000 of equity in something called Topanga Canyon LLC, which was a holding company for a shareholding in Coinbase which was likely to generate many millions of dollars in the future. It is doing an awful lot of heavy lifting and it is not justified.
- G** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: Moreover, and importantly, we see these spreadsheets periodically being exchanged and it had the reference Coinbase, Coinbase FF on one occasion. But it is pretty apparent from all of their dealings that Coinbase and cryptocurrency was an
- H** interchangeable term. It became a synonym, and there are a number of examples where Coinbase is referred to and cryptocurrency is not. Even though she knew that he had cryptocurrency, she said she did not know that he had Coinbase. So one or the other is missing, and it is instructive, I say, to look at those documents. You will find them at 1386.
- MR JUSTICE MACDONALD: Yes.

**A** MR MOLYNEUX: 1389 and 1807. The one at 1386 -- I think it is 1387. 1387 has the reference Coinbase, without cryptocurrency, and then we see the document at 1807 which was exchanged with Mrs Zahmoul. It was provided to Mrs Zahmoul in advance of a mediation, so this is a document which dates from May 2021, more or less the same

**B** time that another asset schedule, the asset schedule that she had used at the first appointment, was also sent by him to her. And there at 1807 we actually see Coinbase as being the name of the investment. \$396,000, estimated mark to market, so the value \$2.327 million, and that was cryptocurrency. Mr Zahmoul said so. That was not a

**C** reference to Coinbase. Indeed, when that spreadsheet was produced, although it was sent over in May, Coinbase had not floated. So he was using and confusing those two terms, and it is no surprise, and she cannot be blamed, she cannot be taken as a peg on which to hang knowledge on her part -- she cannot be blamed if she did not understand

**D** that Coinbase was not Coinbase equity but a reference to cryptocurrency, because the two were being used interchangeably. So this proves nothing. The idea that handing over these spreadsheets, these documents, should be taken by you as a marker that Mrs Zahmoul knew that he had Coinbase equity does not stand up to any scrutiny at all. It

**E** simply does not, because here we have a very clear example of using the word Coinbase to connote possession of cryptocurrency, and no reference at all to Coinbase equity. I have said what I want to say in relation to the use of literally and the use of superstitious ----

**F** MR JUSTICE MACDONALD: Yes.

**G** MR MOLYNEUX: -- in connection with his valuation in his Form E. That does not stand up to any scrutiny at all. Indeed, if you look at 754 in the bundle, which is his Form E, where he seeks to ascribe a valuation to another product, the interest in ArtX, he says there: "This reflects what I paid for the shares in 2020 and remains my view of current value". So he was applying his mind to current value, something which he singularly did not do and did not annotate and did not describe in relation to Topanga Canyon. In his replies to questionnaire, we fast forward to 24 June. Again, there was no specific

**H** reference in the questions that were being asked by Mrs Zahmoul to Topanga Canyon. Is it really plausible that had she known about Coinbase she would have asked no questions in her questionnaire, or would not immediately have followed up on 25 June, having seen the replies to questionnaire, to say: "Hang on, you have told me you have got equity in Coinbase. It is not here. Where is it?" She did not ask those questions because of course she did not know. It is almost as if he is just feeling her out to see

A what she did know and what she did not know, before embarking on mediation, or  
embarking on an attempt to resolve things, and we will look at that in a moment.  
In replies to questionnaire on 24 June, no reference was made to Topanga Canyon  
Holdings or the \$75,000 said to have originally been invested into the company, and  
B 838 is the reference. Mr Zahmoul provided a list of private equity investments under  
cover of those replies. It excluded entirely Topanga and confirmed, wrongly, at 843,  
that all of his private equity investments had had their values explained and evidenced  
C within the respondent's Form E. I mean, there is time and time again opportunity after  
opportunity for him to come clean in relation to this, for him to tell Mrs Zahmoul that  
there has been an omission or to ask her whether she wants any more information in  
relation to Topanga Canyon Holdings because it is a container for Coinbase, and  
Coinbase is about to float, and he is uncertain as to what the value will be when it does  
D float, that she should know it. No, nothing. No explanation at all, and of course by the  
time we get to 24 June it had floated two months earlier.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: He even says to his daughters on 14 April, the day that it floats, "14  
E April, remember the date". Hubristic, but that is what he does. He does not say what  
that is about. He does not say the same thing to Mrs Zahmoul. He does not give any  
explanation at all but just this hubristic remark of "14 April, remember the date". There  
is no doubt at all that he knew by the time we got to the first appointment that he was  
F about to be in receipt of a significant windfall, and there is no doubt at all that from 14  
April onwards he knew that he was sitting on an undisclosed resource of \$7 million  
plus. He observed closely (inaudible) the business. He understood his equity was  
increasing in value. His evidence of course was that he did not follow it, he did not  
G know that this was untrue, at least he did not follow it in the sort of detail that I was  
putting to him. But we know that that is not right, and we can tell that by looking at  
1382 in the bundle.

MR JUSTICE MACDONALD: Yes. 1382?

H MR MOLYNEUX: 1382, which is the exchange with Mr Deeg.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: If you recall, the way that that -- in fact if we go back to 1380, because I  
think probably the whole of this exchange is instructive. At 1380, Mr Zahmoul, who is  
green ----

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: -- and Mr Deeg, who is black, starts: "I just met" ----

- A** MR JUSTICE MACDONALD: -- "a guy".
- MR MOLYNEUX: -- "a guy that has invested in Series D Coinbase". Of course the letters refer to the various stages of funding, so the funding rounds. So if you were a D investor, you got in earlier.
- B** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: "Show me the numbers they are making". This is Mr Zahmoul, "Show me the numbers that they are making", so obviously he knew this was a metaphorical goldmine. He goes on to say: "It is not right that we are not getting any info. We need to get those numbers". Deeg replied: "Is he a spread investor listed on the CAT table?"
- C** "No, I doubt it." "Happy to buy you out for \$75,000, lol." "A rich Costa Rican", continues Mr Zahmoul. This is the guy that he bumped into. Obviously as often happens with WhatsApp, you are not necessarily replying to the previous message.
- D** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: So what really is going on here is Deeg saying: "Happy to buy you out for \$75,000, lol, if you want an exit". He replies: "That is not the point, as I am sure you know". Deeg says: "Feeling generous, I might sweeten it to \$100,000". "Not funny" is the response on 1381 after Mr Zahmoul had said: "Get the guy to send us updated figures". Deeg says: "Not likely. You know you had access via a funny window". That is the Topanga Canyon Holdings.
- MR JUSTICE MACDONALD: Yes.
- F** MR MOLYNEUX: "Not funny". So "not funny" is the \$100,000 offer, because he knows this is a bit of banter between the financial lads in relation to their good fortune in getting in at an early stage to this investment in Coinbase. And it is so funny, the notion that he might accept \$75,000 for it, that it even gets a "lol". 100,000, not funny. It is not funny, and it really is not funny, because he knew that it was worth considerably more than that. They even joked about Deeg buying him out.
- G** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: He observed closely the (inaudible) of the business, he understood the equity was increasing in value, and you can see, can you not, they have got in at FF and there had been fund raising from D onwards. So anyone interested or engaged in this would be able to see the differential fund raisings and the way that the value of that was increasing over time, because with each raising of finance you get a different figure at which you are invited to participate, a different equity interest. So he would have seen that. I mean, it is preposterous that he did not keep a very close eye on this and the idea, I say, that the huge windfall came as a surprise to him is absurd.
- H**

IN PRIVATE

- A MR JUSTICE MACDONALD: Yes.
- B MR MOLYNEUX: Just as absurd as the notion that had Mrs Zahmoul known about it, she would not have asked him about it in detail. So what is his defence to this? Because he is, to use the metaphor, bang to rights. How does he try and escape the allegation that he was someone who had no intention of making any form of disclosure at all about this? Well, it is a pretty simple one, but it fails. He says: "First of all I told my solicitors", but he cannot rely on that because he will not waive privilege, and because his solicitors say in his statement: "He did not tell us. We have got no record of this conversation at all".
- C MR JUSTICE MACDONALD: Yes.
- D MR MOLYNEUX: So what does he do? He says: "Right, it was always my intention to tell my wife about it in advance of the private FDR. That was always my intention. I have done all these replies to questionnaire on 24 June. I was not going to duplicate or triplicate further rounds of updating disclosure so I thought before we go to the private FDR, I will tell her everything".
- E MR JUSTICE MACDONALD: Yes.
- F MR MOLYNEUX: The only problem with that is of course that it is completely untrue. We know that it is completely untrue because his solicitors wrote on 2 July and they said, in a letter from HFC:
- G "Given the sheer number of our client's bank accounts and the fact that the statements provided with replies are up to date, I do not propose to provide updating disclosure in addition to this [that is in addition to replies to questionnaire] particularly given the costs involved, save for the up-to-date statements for my client's cryptocurrency accounts."
- H Apparently the big assets in the case, apart from real property ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- being the cryptocurrency.
- "There has of course been significant movement in the value of cryptocurrency since my client's Form E. On this basis my client is content to proceed with the private FDR without your client updating her disclosure also. Please confirm this is agreed."
- I say at the end of that paragraph, the only reasonable conclusion from this was that the husband's intention was to deceive the wife by not providing updating, and not telling her about the issue of all this equity and the \$7 million valuation that attached to them.

- A** You can imagine his perception of his good fortune by this stage because if he was wondering whether she might have cottoned on historically that he had this, he has got through the Form E, he has got through the first appointment, he has got through the questionnaire, he has got through replies to questionnaire - almost home without having
- B** to tell the truth about this asset. Of course he says there: "Shall we just agree not to have any updating disclosure?", and the answer comes back: "No, we have got to have updating disclosure".
- Of course other evidence points to him seeking to take advantage of the wife's ignorance
- C** about this. You will recall in the evidence he told the court that he was -- he said in correspondence, and we have no choice but to accept that this was what was going on, that he unilaterally reduced the financial support which he had previously been making, and of course he played the card of affordability. 1591 is the reference in the bundle.
- D** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: He reduced the amount that he had been paying. He said: "We are burning through capital. We need to try and preserve our capital". Of course he did not say, even though he would have known at the time that that correspondence was being
- E** exchanged, that he was sitting on this \$7 million windfall. He did not say anything about that at all, thus leading Mr Zahmoul to believe that this notion of burning through capital and having to tighten their belts might have something in it.
- And what else did he do at this time? Well, he did something which is reprehensible,
- F** and that is he encouraged Mrs Zahmoul to attend mediation and to negotiate on an entirely false premise. That does him no credit at all. He sent her an asset schedule with some figures updated, Topanga Canyon not updated.
- MR JUSTICE MACDONALD: Yes.
- G** MR MOLYNEUX: An asset schedule that does not reference the Coinbase equity at all, accompanied with an asset schedule that has a breakdown of the private equity which elides Coinbase and cryptocurrency. So it has got Coinbase there but it has got the cryptocurrency figure next to it.
- H** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And he tells her that he wants to mediate, and that if she involves -- I am paraphrasing, but you will recall the letter, that if she wants to negotiate, she is taking this seriously, then not to involve her solicitors, "Do not involve your lawyers if you are serious about this". I mean, really, there is no defence to this. He was trying to procure a deal with her without her lawyers being involved in circumstances in which there was this inequality of information, when he had not made proper disclosure of a significant

A \$7 million asset, and he was even saying, to make it even worse: "Tell you what, for  
the sake of simplicity, I will buy out your interest in the private equity". So that would  
have been \$37,500 on the asset schedule that he was relying on, which was the asset  
schedule from the first appointment. That sort of tells you all you need to know when it  
B comes to his character, to his willingness to deceive, to his attitude towards his wife and  
to these proceedings. He is not someone who has behaved honestly, and he is not  
someone whose word can be trusted, because the court has seen time and time again  
that he has not told the truth. He has taken the court and he has taken his wife for fools,  
C and his evidence in relation to Coinbase should be entirely rejected. He is a non-  
discloser.  
But it is not just that, because of course everyone loves a redeemed or repented sinner,  
so had he at that point come clean, made full and frank disclosure, not instructed his  
D solicitors to write these moderately unkind letters trying to present the wife as someone  
who was behaving unreasonably, and saying, effectively: "Nothing to see here, let us  
move on. It has gone up in value". I think in one of the letters it says: "It has gone up  
(inaudible), you know. If you have got any concerns about this, then you should  
E articulate them". But he did not just do that, he did not just participate in that play  
acting, he sat on other assets, at least one. We know two, but his defence to the other  
one is that he did not even know about it, that he had forgotten about this significant  
resource. But I say at para.18 that that initial bad conduct was compounded by his  
F subsequent discovery (1) that he had a crypto account with Gemini, something which he  
denied.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: We will look at the details of it in a moment. Holding five Bitcoins,  
G which she discovered as a result of obtaining a subpoena in the USA. He tentatively  
hinted to it when he spoke to Marlon Pinto, but that is very different from making  
proper disclosure via solicitors, via HFC, who were continuing to act for him at that  
point, identifying where it is, and saying: "This is the explanation for why it is in my  
H name", or "why it was in my name", because of course by the time that he referenced it,  
he has tried to distance himself by adding his sister's name to it. Then of course the  
Xapo account containing 16 Bitcoins, which he promptly sold and deployed the  
proceeds of in making himself illiquid - not illusion, illiquid - at a time when the wife  
needed funding for this litigation.

MR JUSTICE MACDONALD: Yes.

A MR MOLYNEUX: (Inaudible) he said he had forgotten the Gemini account he denied was  
his, saying that it was his sister's, that he had gifted the Bitcoin to her as a wedding  
present. The reference at footnote 5, which is 886, is just one example of the HFC  
B correspondence in which they try and finesse away the non-disclosure of Topanga  
Canyon which I invite you -- I will not say at your leisure, but which I invite you  
subsequent to these submissions ----

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: -- to read, my Lord. Now, what of Gemini? Because of the timing of  
C this, I mean, Miss Campbell did her very best to finesse it away, but the timing does not  
look good for him. This was in isolation, and it may be it might be more plausible but,  
looked at in conjunction with his other non-disclosure, it really does not look good.  
D Gemini. In March 2022, his Form E, which required him to:

"Identify investments you HOLD [my capitalisation] or have an  
interest in."

He had a Gemini account. He knew he had a Gemini account. He did not mention it.  
E On 25 May, 148 of the bundle, he was asked for:

"Details of any NFT cryptocurrency which your client has or holds  
an interest in, either in his sole name or jointly with others."

F What is the reply? He says nothing about his sister. In the same questionnaire he was  
asked for:

"Details of any trading activities undertaken by your client on behalf  
of third parties, details of which have not already been disclosed."

G And the answer:

"My client has not undertaken trading activities on behalf of third  
parties and/or institutional investors save for the Chia venture."

H And I suppose, if you were looking for loopholes, you might say: "Well, I was not  
trading, I was just holding these for somebody else". But, I mean, is it in the spirit of  
obligations, especially if you are a serial offender? No. He was asked at question 16  
for:

"Details of any other relationships that your client has with  
centralised exchanges that he has not yet disclosed."

IN PRIVATE

A What is his reply to that?

"My client does not understand the question but he has disclosed all his crypto assets."

B Again, for the umpteenth time in these submissions, what would have been easier than for him to say at that point: "I have five Bitcoins. They are in my name but they are my sister's. They have always been my sister's. They were gifted to her for her birthday but, just so everybody is clear, given the history of this, just so everybody is clear, they are nothing to do with me". Well, of course he did not say that because at this point he was not even confessing to his beneficial ownership of Topanga, or at least to the value of the equity which Topanga held.

C On 25 February 2022, in her original questionnaire he was asked in terms:

D "To confirm whether the respondent had made any further investments which have not yet been disclosed either in his own name [etc. etc.]"

E The answer at p.861: "There are none", but of course there were, and he was not telling the truth.

F On 24 June 2021, in a letter prompted by analysis of *Imerman* disclosure -- I should say in parenthesis that the degree of investigation in relation to the *Imerman* disclosure was not required by my client. She required only one folder to be analysed and considered. The others she invited nothing to be done with. The fact is that HFC made the decision themselves, the determination themselves, that they would do that, presumably on instructions or in agreement with their client, and the costs that were incurred are down to him, not to my client. On 24 June, the question at 51 -- or answer 51, the description of document 51, he says:

G "There is a printout relating to Coinbase, MultiBit Classic, and Gemini KZ, which is enclosed. Our client's Coinbase account is disclosed in his Form E. Our client no longer holds MultiBit or Gemini accounts and has not for many years. The MultiBit platform no longer exists."

H But this was not true. It was another lie. He did hold an account, and he knew on that date that that account in his name with Gemini had five Bitcoins in it, of a value even then of over US\$100,000.

On 4 March, at the second or third time of asking, I think the second time of asking, Her Honour Judge Cope ordered a crypto expert. The husband opposed this, although,

A seeing the writing on the wall, relented, although in his evidence it was not clear  
whether he knew he was relenting at the time that he relented, or whether he  
subsequently found out that that was what everybody had agreed on his behalf. It was  
one of those remote hearings where confusion is more available than when you are  
B seeing someone in person at court. He contacted Gemini on 12 March. We see that at  
2724.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Explaining that this was prompted by his move to Portugal, but of course  
C he had moved there in 2020. I say here that there was a telling exchange at the very  
beginning. You will recall in his statement where he criticises my client and juxtaposes  
what he regards as being his propriety, his honesty and integrity, with the character of  
Mrs Zahmoul. He says he used to find it distasteful when she would give people a few  
D dollars in order to be able to jump the queue when they were at the airport. "It was not  
my cup of tea". And then he tells you, almost the first question that he was asked, that  
the address that he put in his tax return was not his address at all. The address that he  
relied on for residence in Portugal was never his address. It was an entirely bogus  
E arrangement whereby he paid somebody some money so he could pretend that he lived  
there in order to get the tax advantages that flowed from that. What a thoroughly  
dishonest way to behave. And the chutzpah of somebody criticising my client in the  
way that he did in his statement, whilst holding himself out as a beacon of moral  
F propriety, really takes the metaphorical biscuit.

So on 12 March he contacts Gemini, he says has just moved to Portugal. Of course he  
had not, he had been there by then for two years. The sudden urgency of course is that  
he can see that the fact that the crypto expert who he had opposed being appointed was  
G being appointed would probably lead or at least may lead to the exposure of his holding  
of Bitcoins at Gemini, and he did not want to do that. Of course confusion still remains  
in relation to what actually was going on, because he gave his own phone number and  
not his sister's when purporting to correspond with Gemini, and so the message, which  
H we have looked at which again purports to come from her, is signed off by him. So this  
overlap between who is actually getting involved and who is actually controlling these  
communications with Gemini has never been properly explained.

And of course at around about the same time that he was covertly changing an asset  
from his name into his sister's, he was seeking to undermine the efforts of the wife to  
obtain disclosure, and you will see that at 3194 - at least I hope you will.

MR JUSTICE MACDONALD: 3194?

A MR MOLYNEUX: 3194.  
MR JUSTICE MACDONALD: The Withers' letter?  
MR MOLYNEUX: This is a letter from Withers.  
MR JUSTICE MACDONALD: Yes.

B MR MOLYNEUX:

C "I wrote to you on 22 June with a number of questions in relation to  
your client's disclosure. His response was to write to my client with  
the subject heading 'your lawyers are wasting money' and to attach a  
link to a paper in relation to SPACs. It is characteristic of him to  
allege, in the face of being asked perfectly legitimate questions, that  
my client is running up costs or in some way not just justified in  
posing them. My client wishes to have no further direct  
communication with your client save insofar as it is necessary in  
relation to our client's daughters. She finds this correspondence  
oppressive and overbearing, and his vitriol towards our client,  
D including correspondence with the girls' school, is offensive. She  
does not trust your client and has good reason not to, given the way  
he has engaged in these proceedings to date."

E Again, it was a theme - a theme that has had real world costs consequences - of Mr  
Zahmoul not only being difficult when it comes to disclosure and not only making it  
hard for her to fund her litigation costs, but also subtly undermining the relationship  
between her and her lawyers. We have seen an example where he tells her not to tell  
her lawyers about possible negotiation, and we saw another example where he wrote to  
F Burgess Mee inviting them to read a number of books which he said would give them  
an insight into her medical condition and her poor mental health, and the PTSD which  
he acknowledged that she suffered from - PTSD which he seems subsequently to have  
tried to distance himself from. Miss Campbell tells you not to attach weight to  
G Professor Libby's letter, even though that letter is one that he attached to his own  
statement.

H It is not on, the way he has behaved, and it has had real world consequences because it  
has led inexorably to an increase in the amount of costs that my client has been obliged  
to incur and her ability to trust what he says. That is the terrible thing, is it not, about  
trust in any relationship? When it is gone, it is very, very hard to get back. It is true in  
a marriage, it is true in litigation. When you think someone is out to stiff you (to use  
the colloquialism), when you think that someone is out to dishonestly prevent you  
getting your fair share, and when you are proven right in relation to Coinbase, when you  
are proven right in relation to Gemini, when you are proven right in relation to Xapo,  
and all the time the answer is coming back: "Well, just talk to me, just negotiate with

A me, just accept what I am saying; you are being unreasonable if you do not do any of those things", how much harder is that to stomach? How much more likely is it that you will not negotiate, that you will want to get replies to questionnaire, that you will want to understand discrepancies, whether it is discrepancies in relation to the

B Portuguese tax return, which to the casual observer makes no sense at all, and indeed requires ILYA to try and act as some Rosetta Stone whereby ILYA can correct its own mistakes in the tax return and explain why an asset which we are told is Coinbase is said to be purchased in a year in which it was not purchased, and sold at a time when it

C was not purchase -- when it was not sold, and all for figures which barely make sense because they are converted into euros rather than dollars, and do not have any underlying documentation to support it in any event,. And she is provided with that and told to believe it, and if she does not believe it, she is some sort of fantasist who is

D recklessly damaging the family's wealth by asking more and more questions. And of course there are other examples of discrepancies - the tax return, the IRS tax return that my client regards as being the fraudulent tax return whereby liabilities are attributed and then reattributed in a way that does not tally with the true position, where

E she is misrepresented as being a US citizen -- she has been described as a UK citizen, and where he is essentially a US citizen rather than a French citizen. None of this seems to make any sense at all to my client, and yet she is told over the course of the last week and a half, and you are told on behalf of Mr Zahmoul, that she is the one who

F has behaved unreasonably for questioning these things and for not accepting at face value what she has been told. Well, nobody could, in my submission. No reasonable person could have been expected to accept what he has been saying, because so much of it has made no sense for so long. Then we move on to Xapo.

G MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: His Xapo disclosure illustrates this manifestation of "catch me if you can". She long contended that he had Bitcoins with Xapo. You can see that at 1992 of the bundle. I am not necessarily going to invite you to look at these pages right now,

H but so you have the references.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: At 1992 she contends that he had Bitcoins with Xapo, and with the assistance of Mr Sibenik, who was the expert who was helping her frame questions -- again a real imbalance of knowledge in this sector. It is inevitable that my client is going to incur money trying to understand cryptocurrency. I mean, even the professionals are, dare I say, feeling our way tentatively through this relatively new

A area. It is not like a bank account, where we all understand what a sort code means,  
B what an account means, what the name on an account means, how things are transferred  
C and tallied, the visibility, the KYC. She did not know all of these things. He did. So  
she needed Mr Sibenik to help her, especially against the backdrop of the deficiencies in  
his disclosure that she was aware of. So it was inevitable that she was going to spend  
money with Mr Sibenik or somebody else. She was always going to have to do that in  
order to try and understand his cryptocurrency disclosure. Even now, my client is very  
sceptical - I am probably doing her a disservice when I say that, she would put it higher  
- about the existence of a second Coinbase account. You will recall the one which is  
said to be deleted, it has got FR, for France.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: She cannot makes sense of how you could have an account which has got  
D a French reference going back to 2014 when they only received a licence to operate in  
France in December 2023. None of this makes sense. Can she really be criticised?  
Can she fairly be criticised for not being able to take at face value what is being said on  
behalf of the husband in the circumstances that have played out over 4,000 pages and  
E over the last eight days? It is a rhetorical question, because she cannot fairly be  
criticised.

With the benefit of Mr Sibenik's help, she sought in June 2022 confirmation that the  
MultiBit wallet, the 1LVSG that is associated with a self-custodial wallet belonging --  
F or which previously belonged to Mr Zahmoul. That is the MultiBit wallet. She posed  
the question that that wallet: is it the MultiBit wallet that he claims not to have memory  
of, on which there is strong evidence that is an old self-custodial wallet belonging to Mr  
Zahmoul? You will recall this being a MultiBit account that he had distanced himself  
G from. I think he said that if he had one, it had been closed down some time before,  
MultiBit having been in existence for a number of years. But you can see here that my  
client is on the scent. She understands that this MultiBit wallet has transferred Bitcoins,  
and she is asking: "Is that your MultiBit wallet?", in the teeth of his presentation that he  
H had not had a MultiBit wallet for a long time, and certainly is not 'fessing up to any  
Xapo Bitcoins.

So building on those questions in September 2022, Marlon Pinto raised the issue of  
whether he might have an account at Xapo. September 2022, an important data point.  
That is 3863 in the bundle. Further questions were raised on behalf of the wife in  
November 2022 at p.2011:

**IN PRIVATE**

**A** "What became of the 10.9694 Bitcoins sent to Xapo from the MultiBit wallet? Where are those funds now?"

One of the questions which flowed from that was:

**B** "Please can I have the Xapo records from 2014 to current?"

Again all helped with by Mr Sibenik.

**C** "These records should include deposit and withdrawals from the account, with the blockchain transaction data associated with these deposits and withdrawals."

**D** She could not have done more to put him on notice that she did not trust his disclosure, that she believed that he had Bitcoins with Xapo, that they had not been disclosed and that he should tell her all about them. And what did he do? Nothing. He did not do anything at all until 10 March 2023, which is when it appears that he approached Xapo. Now, the only rational explanation for this is that he was hoping that he would not have to disclose it, but the complexity of the task in relation to cryptocurrencies, where there is this inequality of knowledge and where costs are being incurred, and where he is doing everything he can to prevent those costs being met by making himself illiquid and making the family illiquid, his aspiration was that this would somehow all get lost in the wash. That is the only rational explanation for doing nothing and saying nothing. If that could be translated into Latin, that would be Mr Zahmoul's philosophy, it would be his motto.

**E** On 14 March 2023 he was told he had 16.16 Bitcoin and \$500. On 15 March, so the very next day, he gave instructions as follows:

**F** "Given the volatility of Bitcoin, I would like to take the opportunity of this short hop to sell the balance, so the fastest you are able to do it, the better."

**G** On 10 April 2023 he retrospectively admitted that it had existed, but of course he had spent it before he had told her. And although I am not going to take you, because time will not permit us and the court's appetite might have been sated already -- there are so many examples, which we looked at in evidence and which Mr Zahmoul was asked questions about, of him doing what he can to reduce liquidity in the case. Now, of course it is presented by Miss Campbell on his behalf as prudent management of finances with one eye on Nadia's expenditure, one eye on Mrs Zahmoul's legal costs expenditure.

A MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: But we say that was not the motivation at all. The motivation was to make it so difficult for her to continue to litigate. It is the backdrop of the costs that have been incurred and his ongoing delinquency in relation to disclosure. He did not want her to have funds. It is the last thing he wanted. He wanted her to be in a position where she would either have to self-represent or she would run out of steam, and the best way to do that was to fire sale everything and, if you found any more liquidity, sell that as well, and pay down your mortgage. Pay down a mortgage at 3½% that does not expire until 2025, and you knew this at the beginning of 2023? It does not make any sense, and it was not his call to make, because it was her money as much as his. So he was able either to self-represent, which is always easier for the non-discloser because they know what there is and they know what they are not telling the truth about, and then he has the, again, chutzpah to criticise her for the costs which she has incurred and referenced the money that he had saved by self-representing. Of course she could not self-represent because she had already taken out a litigation loan, and the litigation loan had, as one of its conditions, that she had representation. That was one of the real obstacles she faced in relation to this final hearing, absent which, who knows, maybe I would not have been here. But she had to be represented because that was a condition that Detach had added to the terms of the loan when they gave it to her in the first place. So she did not have any choice but to have representation.

F We see time and time again, do we not, through the evidence, liquidity being removed, that then being held up as a reason why maybe maintenance would have to be reduced, why legal fees could not be met. We were told when came here for the pre-trial review that unless you acceded to the submissions to reduce the amount of money that would be made available by way of legal services funding, that Mr Zahmoul would not be represented and, hey presto, here are Miss Campbell and Miss Amaouche.

G Then on 17 May 2022, just by way again of illustration of what my client would describe as gaslighting but the court might describe in different terms as rather arrogant disdain for process and procedure and for honesty, he says on 17 May 2022, through his solicitors that the outcome of this very costly exercise was simply to -- in fact he says it in his own statements, because he is referencing back to the Coinbase disclosure and to the *Imerman* disclosure:

H

"The outcome of this very costly *Imerman* exercise was simply to underline that I had disclosed everything."

- A** And of course he had not. It just again was not true.
- What about cryptocurrency generally? I am not going to take you on probably an arid revisitation and textural comparison of the conduct statement that my client filed with the section 25 statement, because I understand that there are inconsistencies between
- B** those two documents.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And I understand that I cannot -- I have got obligations to the court as well as to my client. I cannot say to you there is \$140 million of cryptocurrency which
- C** has been evidenced within these proceedings.
- MR JUSTICE MACDONALD: No.
- MR MOLYNEUX: But what I can say is that, as Donald Rumsfeld might have put it, there are known unknowns and there are unknown unknowns. And one of the unknown
- D** unknowns in this case is the extent to which there is cryptocurrency which you do not know about because Mr Zahmoul has not told you. We know that that would be the position in relation to Gemini and Xapo if he had not been obliged to come clean in relation to it. Certainly in relation to Gemini. Xapo, he says: "Well, I forgot it". But
- E** the gap between being told that he was likely to have it and telling the court that he had it, and all the hearings that took place during that period of time when he was not saying that he had it, do tend to give the lie to that suggestion.
- So we are in a position where Mr Pinto says to you in evidence that this is a space in
- F** which if he does not want to tell the truth, it is probably easier here not to tell the truth than in other spheres because it is only really KYC that gives you a clue as to who is the beneficial owner, and KYC requires you to have a hosted wallet, it requires you to have a Coinbase account or have a Gemini account so that you can go and ask Coinbase or
- G** Gemini, as my client did in relation to Gemini: "Who is the true owner of this wallet?" But if you have got your own wallet, or if you were an early adopter and just have not told anybody anything, then it would be very, very easy to hide assets, just as assets have not been disclosed in this case.
- H** My client's case is that if you look at the totality of the evidence in this case, if you look at the way that Mr Zahmoul has made, and not made, disclosure, if you look at what we now know about his cryptocurrency holding, that it is more likely than not that he has not made full disclosure in relation to other cryptocurrency assets, that it is a reasonable inference for the court to draw, an inference that should be drawn, that he has not made full disclosure. Because otherwise we are in this situation whereby, by chance, he has now made full disclosure by dint of the questions which have been asked, and we have

**A** exhausted all of the non-disclosure, and that is inherently, in this case, unlikely. It is far more likely that we know about what we know about, and that we do not know about what we do not know about.

**B** I deal with that more extensively at paras.22 and 23. There is one good example of this, in relation to which, in my submission, Mr Zahmoul really had nothing constructive, nothing intelligent, to say, and that is in relation to Ms Molina. Because you will recall that there was a question mark in relation to the true owner of a wallet which Mr Pinto raised, 3DAJTD.

**C** MR JUSTICE MACDONALD: Yes.

**D** MR MOLYNEUX: And his evidence was that, by dint of who he had been with at the time that that transaction had taken place, he assumed, he believes that it was Ms Molina. There matters might have rested, except Ms Molina produced a very clear email in which she asserts positively that that wallet was her wallet. She said the same in relation to two others. Now, she could not possibly have said that unless she had a reason to believe it or unless she was told to say it. I mean, it is exactly the same in this context as a bank account. If somebody asks you, my Lord, whether you had a bank account and gave you the numbers and the sort code and said: "Is this your bank account?", you would be able to tell them whether or not it was your bank account, and you would be highly unlikely to say categorically: "This is my bank account" in circumstances in which patently it was not. And he as good as said, when giving evidence, that she had said that it was hers because he told her to say that. Of course then he comes up with an entirely contradictory different explanation, which is to say that, no, this is actually now someone at Forte Securities in Australia, or possibly not Forte Securities the employee, but Forte Securities the organisation and -- well, really.

**G** MR JUSTICE MACDONALD: Yes.

**H** MR MOLYNEUX: It is hopeless and smacks of dishonesty, and it smacks of him procuring an account from Ms Molina that he knew or ought to have known was not accurate. So at the very, very best, if you were minded to ascribe a benign motivation, it would be: "I am pretty sure it is yours. You have not got the records but can you just confirm that it is? It is just easier". But that is not the way to make disclosure in the context of these proceedings, certainly not in October 2022 when you have already been caught out about Coinbase, you have already been caught out about Gemini, you have been asked about Xapo. You must then be on notice that there is something going on with Xapo which you need to look into, and then you tell someone to tell the court in a written document that a cryptocurrency wallet is theirs when they obviously cannot know that

- A** because it is not theirs, and when you (inaudible) for an expert. It is terrible behaviour. Terrible. And it explains again, if further explanation is needed, why we have got to where we have got to, why the costs are what the costs are, and it is not down to my client.
- B** I deal at some length with the conduct heading, and I am not going to read this out to you, but I do invite you, my Lord, to look at this when you have a moment because this is what Mr Zahmoul says, because again he is seeking an adjustment in relation to costs, which effectively will give him more than 50% of the resulting assets and reduce my
- C** client, were he to succeed in this, to £5.something million, £5.8 million, £5.7 million. Miss Campbell has very helpfully done the maths. We have not engaged with the maths because we say there are no maths to engage with. That is our ES2 explanation. We do not dignify the ES2 with figures which are, we say, pretty manifestly unreliable,
- D** and if there is criticism to be levelled, that is an explanation that should not lead to that criticism, and I invite you not to hold that against my client because it is very hard to engage with figures that you honestly believe and reasonably believe represent only a fraction of the total resource.
- E** In red is my client's response in relation to the various allegations which are made against her and the various costs which are sought, including an adjustment for the fact that Mr Zahmoul sold assets at a point where he now knows that he probably should not have sold them. If he had held on to them, they would be worth more. But he was not
- F** asked to sell them. Indeed, he was being discouraged from selling them, and he certainly was not being asked to pay down the mortgage. There was a *sotto voce* acknowledgement on the part of Miss Campbell that whilst it might not be a technical breach, it was certainly not in the spirit of the injunction or of the undertaking which
- G** was given in relation to the mortgage, where there was permission to use funds at the Bank of Jackson Hole to meet mortgage payments. That is a world away, and anybody would have known it, from using all of those resources to pay down the mortgage. He knew what he was doing, and what he was doing was trying to eliminate liquidity, again
- H** to try and prevent my client either receiving the maintenance that she needed and deserved or the legal fees that she required in order to prosecute her case and reveal his non-disclosure. It is an onion of unattractive, reprehensible behaviour. As you peel back one layer, you see another thing that he really should not have done. So I do invite you to read the observations which I made in red.

MR JUSTICE MACDONALD: Of course, yes.

- A** MR MOLYNEUX: You understand what I say in relation to his behaviour. I am not going to egg, over-egg or re-over-egg the observations which I have made about that.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: But there are other aspects we say you need to take into account. The
- B** UBS account is one of them, and I just want to iterate what my client reasonably believes in relation to this. It is set out at p.16.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: Mr Zahmoul says to her that withdrawals from UBS are not to be taken
- C** in aggregate as being £12 million, as if £12 million has been taken from that account. I should rewind, just to contextualise the case as put by Mrs Zahmoul in this regard. She says: "Our UK expenses were met by Barclays money and by onshore money, such that
- D** we spent probably pretty much everything that was being earned in the UK and that is how we lived, and we lived on £900,000 a year", and there is an AG Tax memo which illustrates this, how there was more or less £11 million of sterling which was spent, £11 million net. That is really easily understood. You are based in the United Kingdom and that is where the money was coming from.
- E** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: He was not remitting money to this country because that would have had adverse tax consequences. You looked at the other documents and the schedule, the
- F** tables that Miss Campbell in her submissions made to you earlier, and showed you earlier. And then there is another pocket of money, which is the UBS money. She says, and she says she knows this from her lived experience, that that money, that UBS
- G** money, did not meet the parties' living expenses, that it did not meet their capital needs in America to buy properties because those properties already existed in 2005, or 2004, and were rolled over on these, I think, 1301 transactions whereby you defer a capital
- gain by rolling over one sale to ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- the purchase of another. So she says we have got America, and the
- H** assets in America, self-contained, quarantined bubble. We have got expenses in the United Kingdom, another self-contained quarantined bubble met by income in the United Kingdom, predominantly from Barclays, tax in the United Kingdom, £900,000 a year, living the good life, living their best lives. And then we have got UBS which has got £12 million going out of this account and nothing to show for it. Now, of course Mr Zahmoul can point to some things to show for it, because he has made some investments, but there is a hole in his explanation, my client says, from her lived

A experience, from the instructions which she gives me, which is not found anywhere on  
the balance sheet, not found in assets in America, not found in assets in the United  
Kingdom, not found anywhere, and she does not accept at all the evidence which Mr  
B Zahmoul gives, which is to say, effectively: "Well, it looks like a big number but it is  
not a big number because that same money is sort of being recycled. It would be  
withdrawn from one account and then it would be paid back into UBS and so if you  
look at the aggregate figure, it looks like 12 million, but actually it is a fraction of that".  
C She says that is not true. She says she knows that from their time together, that that 12  
million was not a recycled sum, that 12 million is a separate, freestanding, almost a  
second balance sheet - that is the expression she uses ----

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: -- in her statement. Then elsewhere on that page I invite you to read  
D 3297 to 3298, which is the AG tax memo.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Overleaf I make some further references in relation to his dealing with  
cryptocurrency that I have elaborated on already. Let me try and summarise some of  
E these points.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: The following matters, we say, are going to be material to the court's  
consideration in relation to whether or not this is - to return to where I started - a non-  
disclosure case. There is already, point 1, evidenced non-disclosure: Coinbase,  
F Gemini, Xapo. So we are not asking really: is it a non-disclosure case? We are asking,  
more properly: is the non-disclosure continuing? His approach to crypto illustrates, my  
client says, his approach to the case - he responds to what is known rather than  
G volunteer what ought to be disclosed. It is this approach, I say at para.27 - a pattern of  
denial by Mr Zahmoul, industrious research and work by Mrs Zahmoul and then  
ultimate acknowledgement of default again by Mr Zahmoul - that has made these  
proceedings so acutely painful for my client, so enervating, so exhausting, the feeling  
H (subsequently borne out time and time again to be true) that he has not been candid, that  
he has not been fair to her, with her, at the end of this 26-year relationship, and during  
which, throughout its ups and downs, she has supported him. I should say there, and I  
think I referenced this as being one of the more important documents, and took you to it  
at some length -- there is this letter that was referred to and put to ----

MR JUSTICE MACDONALD: Yes.

**A** MR MOLYNEUX: -- my client when she was giving her evidence, in which she praises his generosity and writes, in the terms of modern therapy, about their current relationship. But do, I ask your Lordship, read the entirety of that, because you will see just how troubled their relationship was, how traumatic many aspects of their relationship were, **B** how easy it would be to imagine that this is a couple who had had their problems, had had their troubles and how this is not now to be seen as some post-divorce hardening of heart whereby my client unreasonably turns on a man who has been a paragon of generosity and kindness to her and, out of spite, determines that she will make life **C** difficult for him by raising all sorts of questions. It is clear that there were issues and troubles in their relationship spanning intimacy, spanning honesty during that relationship. This is a product of non-disclosure, not of unkindness or of spite. It is my client's quest for the truth.

**D** MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: No wonder she is concerned about this asymmetry of knowledge that I refer to at para.29. No wonder she has had to demonstrate tenacity. But do not read across that tenacity to her being someone who could walk out and get a job, because if **E** you have seen anything in this case, you will have seen that there is good reason why Professor Libby wrote what he wrote, why the husband acknowledged that she had PTSD, why she had to struggle within these proceedings, and the notion that she will be able to walk into a self-supporting, high-paying job is, in my respectful submission, for **F** the birds.

There are of course other aspects of non-disclosure, other question marks in relation to his disclosure that the court should be alive to in giving judgment. I deal with that at para.30. Why would a man who is concerned about a lack of liquidity make an **G** unsecured loan of \$500,000 to a friend who had owed him £60,000 for the previous 15 years? Why would someone who was anxious about their financial future do such a thing? Mr Kobayashi has got form for not paying back his debts. So who in their right mind would extend further credit of \$500,000 in the hope that this time he will have a change of heart and pay it? He did not pay 50% of the first loan. You would only do **H** that if you were confident about your financial future, or you do it if you were trying to do everything you can to destroy the appearance of liquidity, so that when your wife comes to court and says: "Can I have maintenance pending suit? Can I have legal services fees?", you can say: "The cupboard is bare".

I make some observations in relation to his equity in Bitwyre and to the Norsar power plant which I invite you to read.

A MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: I also make reference at para.33 to failure, on my client's instructions, to disclose credit cards which she knows he would have had the use of, and also to the standard of living which he enjoyed during the course of the period post-separation: buying properties, the kitesurfing, the high expenditure on hotels. It is all particularised in my client's statement and I do invite you before you give judgment to remind yourself of how she expresses that part of her case.

MR JUSTICE MACDONALD: Yes.

C MR MOLYNEUX: I say at para.35:

D "Are the multiple errors and deficiencies in the disclosure, the initial Form E disclosure, the tax returns, the crypto investments, etc, etc, likely to be innocent or are they indicative of a litigant who is cavilling at his disclosure obligations and someone who is in fact hiding the truth?"

And we have not even got on to Ambience, which you will recall, and indeed I have dealt with it as a footnote.

E MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: I am not going to use your time trawling through that, but if you remind yourself, my Lord, I respectfully ask before you give judgment, of what my client said in relation to Ambience. That is the investment that he denies having, that he tried to invest in in November 2016, and that, miraculously and inexplicably, appears in a May 2017 list of his assets with TRS, total return swap, with Mike Deeg.

MR JUSTICE MACDONALD: Yes.

G MR MOLYNEUX: So six months after he is saying that he is not able to make an investment in that, it has somehow managed to survive into a line on an asset schedule, which he relies upon in these proceedings as being evidence of just how candid he was about the nature and quality of his disclosure during the marriage. Far more likely, my client says, that he still had that investment and that is one that she simply has not been able to get to the bottom of.

H MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Paragraph 37 deals with points I have already made in relation to inadequacies of the tax returns, his involvement in the life of Ms Molina, the \$780,000- something which goes through Ms Molina's account -- I can pause ----

MR JUSTICE MACDONALD: No, it is all right. I think ----

MR MOLYNEUX: I am almost at the end actually.

- A** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: Paragraph 38 deals with \$816,000, which is the value of the 16 Bitcoins, in today's money. Obviously it was less at the point that they were sold.
- MR JUSTICE MACDONALD: Yes.
- B** MR MOLYNEUX: And again I draw those threads together to say that the only fair and just conclusion for the court to arrive at is that this is a gentleman who has not made during the course of these proceedings full disclosure, and it would be wrong to conclude that everything that could have been found out has been found out, because it really has
- C** been like pulling teeth trying to get to the bottom of this man's financial position. Where does that leave us in relation to costs?
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: You have seen what my client says in relation to needs, and I invite you
- D** to re-read the paragraphs in relation to needs. Her position in relation to needs is perfectly reasonable. This is a case in which, whilst I seek the entirety of the assets, whatever the outcome would be or would have been if he had made full disclosure, it would not be a 50/50 case, because her needs would not be met on the basis of an equal
- E** division, because an equal division would effectively mean an unequal future where her needs are not properly met. This is a family who were spending £900,000 a year until relatively recently, certainly throughout the 10s. He has an earning capacity that he can utilise. She demonstrably does not have a meaningful earning capacity that she can
- F** utilise, so 50% of the totality of the resource will not meet her needs. She needs the entirety of the resource. She certainly needs more than 50% on any view, even if non-disclosure was not an issue, which it most definitely is. But what about costs?
- MR JUSTICE MACDONALD: Yes.
- G** MR MOLYNEUX: He has applied unreasonable pressure to my client in the conduct of these proceedings. He has prevented her from using their money, not his money their money, to fund her costs. There is a letter at 1621 which says that pretty much in terms. He has paid down the mortgage on the Wyoming properties in order to stymie her efforts to
- H** access liquidity. He has sold the Xapo coins and paid down the mortgage in order to stymie her efforts to get access to liquidity. He has done the same in relation to the cryptocurrency itself to stymie her efforts to get access to liquidity. He has obliged her to take out a litigation loan and then blamed her when she takes out a litigation loan. And all the time he has pressured her to accept less than she should, in circumstances in which he has not been making full disclosure as he should have. Of course the cardinal example of that is in May 2021, "I know you are cross" ----

- A** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- when he was trying to procure a settlement with her whilst declining to tell her about the existence of the equity in Coinbase. We assert that it is the husband, not the wife, who is responsible for the huge expenditure on costs on this litigation. I
- B** know no one doing a money case should ever describe something as being sad, especially in the presence of those people who do serious children work, so I do circumspectly remind myself of that.
- MR JUSTICE MACDONALD: Yes.
- C** MR MOLYNEUX: But there is something sad about this case, and that sadness is the costs which have unnecessarily been incurred because, whatever the assets are - and we say that they are significantly higher than 12 million, but whatever they were - whether 30 million, 40 million, £3 million, or the best part of, is an awful lot of family money to be
- D** spent on lawyers.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: But that is not my client's fault. Much as she has been painted in those terms, it is not her fault. She has done her very best to resolve these things as cost-
- E** efficiently as she could, but she could only do that against the backdrop of truth. Now, how can I say that she has shown herself to be someone who wanted to settle? Well, it is easy. She agreed to mediate in May 2021. Now, if she was a recalcitrant, hard-nosed litigator who was behaving unreasonably, motivated by spite, determined at all costs to
- F** see this to the bitter end, she would not have contemplated mediation, especially when there were still lacunae in the husband's disclosure. But she did, and she did that because at heart she is someone who has always wanted to try and resolve this in cost-
- G** effective, proportionate ways, but someone who could not tolerate, reasonably could not tolerate, having the wool pulled over her eyes, as has happened time and time again. She explains this at para.42 in her statement of 25 February, and I cannot really improve upon it.
- MR JUSTICE MACDONALD: Yes.
- H** MR MOLYNEUX: So I am going to read these three paragraphs:

"The respondent's failure to comply with his sworn duty to provide full and frank disclosure has been the pivotal driver of the exorbitant legal fees incurred in this case. He has leveraged his asymmetrical knowledge of finance, taxes and cryptos to intentionally deceive me and the court. His disclosures, when made, have been selective and obfuscated the true value of the marital assets. His lack of transparency has required month-long efforts to obtain what ultimately consist of deficient disclosures. He will reference the

A number of pages of disclosure he has provided, and the many questions he has answered. Neither of these have been addressed with honesty but, rather, with false statements and intentional obfuscation. He has been adept at providing reams of information on immaterial items whilst ensuring the information provided on material assets remains incomplete."

B I cannot improve on that. That is her case.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: On 23 February, Withers wrote in similar terms:

C "When it comes to the question of costs, it is your client himself who has caused costs to be wasted by producing inadequate, disproportionate and deliberately misleading disclosure, delaying providing answers to fundamental questions asked, and purposely obscuring the true nature of the transactions he has carried out. The audacity your client displays in continuing to assign the failure to reach a financial settlement to my client is farcical. It is long past its shelf life."

E This is not a case about whether or not my client has not strictly complied with orders that were made - hard for her to comply with because of the absence of funding - or whether she could have done better in relation to certain aspects of procedure. This is a case about non-disclosure and about the costs that flow when one litigant does not tell the truth to the other litigant. That is the story, the thread that is found connecting all of the aspects of this £3 million of expenditure. It has been costs created by the husband's initial and enduring dishonesty and lack of full and frank disclosure, and that is something for which he, and he alone, is responsible. Can I just pause in case I have missed something?

G MR JUSTICE MACDONALD: Yes. (After a pause)

MR MOLYNEUX: My Lord, thank you.

MR JUSTICE MACDONALD: Thank you, Mr Molyneux. Mr Molyneux I am most grateful to you and your team. Yes, Miss Campbell?

H MISS CAMPBELL: My Lord, I have no right of reply and do not seek one, but there are ----

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: -- a few points that I want to correct, without making submissions about them. The first is in relation to the suggestion that Mrs Zahmoul said my client behaved fraudulently with using the wrong tax address -- giving the wrong address on his US tax returns. My Lord, I would ask you to look at p.2479.

MR JUSTICE MACDONALD: Yes.

**IN PRIVATE**

- A** MISS CAMPBELL: Which is the communication and correspondence between the tax advisers, where Mrs Zahmoul's tax adviser accepts it is not a problem.
- Secondly, in relation to the WhatsApp message you were taken to at 1381, where Mr Molyneux has said Mr Deeg was saying: "It is not funny" -- sorry, my client was
- B** saying: "That is not funny", relating to the purchase offer or the sale price, and Mr Deeg said: "I will buy you out for 100", he is actually referring to the aspect of how they obtained the shares, and Mr Deeg says: "It is through a funny window", and he says "Not funny" so ----
- C** MR MOLYNEUX: That is a submission, is it not?
- MR JUSTICE MACDONALD: It is.
- MR MOLYNEUX: You have got the material.
- MR JUSTICE MACDONALD: Miss Campbell, it is really, yes.
- D** MISS CAMPBELL: All right. My Lord, I am not going to make any submissions about this but could I ask you to read my -- I did not read through the note because we were getting behind in terms of time, but my para.58(f) makes the point about legal privilege, and Mr Molyneux made a submission in which he said he has not waived privilege and
- E** you can effectively draw an adverse inference against him from that. You may not. Privilege is a right, and you must not draw adverse inferences because someone does not waive privilege against the whole of their solicitors' file. Similarly, at para.22, it is there, and I simply ask you, my Lord, to ----
- F** MR JUSTICE MACDONALD: Well, I will revisit both parties' written submissions as I consider my judgment.
- MISS CAMPBELL: Thank you, my Lord.
- MR JUSTICE MACDONALD: Yes.
- G** MR MOLYNEUX: My Lord, I should say that the inference is that he has not said what he says he said, because you will understand, his case was: "I told my solicitors something".
- MR JUSTICE MACDONALD: Yes. I understand the point. Yes, thank you very much
- H** indeed. I am grateful to both of you for your comprehensive submissions and your assistance in this matter. It is my intention to reserve judgment. I will endeavour to hand down judgment by the end of term, or judgment by the end of term. There is a possibility, given other work that is in the list, that might not be possible, but I will do my best to hand it down by the final day of term. I am very conscious, Miss Campbell, that both parties will wish to have an answer as soon as possible.
- MISS CAMPBELL: Thank you, my Lord.

**IN PRIVATE**

**A** MR JUSTICE MACDONALD: Yes. Thank you very much. I will rise.

(The court adjourned)

**B** -----

**Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.**

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